Investment Committee - GATE 4

Serco Business

Deal Dashboard

Dynamics Vantagepoint Ref	CRM ID 0038112
Name	MM - London Cycle Hire Scheme Retension + Expansion
Customer	Transport for London (TfL) trading under TTL
Bid Type	Retention + Increased Scope
Contract Type	Provision of a Fixed Fee Service defined by an output-based specification, measured and paid against the delivery of SLAs. Use of the model services agreement with amendments is proposed
Procurement Method	Competitive Dialogue. Variants – not permitted. Other London micro mobility Scheme operations are Not permitted
Evaluation Criteria	Most Economically Advantageous Tender (MEAT). 60:40 split between Quality (Social Value =10%) and Price. Provision of BMS and MTT accounts for 70% of the quality weighting. Price is calculated on the initial 5-year term only and excludes indexation and bike refresh; all other elements are included (e.g. transition costs, exit costs, docking infrastructure refresh)
Timeline	PQQ Submit: Sep 4th 23; ITPD Submit: Mar 27th 24 , Dialogue Apr-May 24; ISFT submit: Aug 30th 24; CA: Jan 05th 25; OCD: July 25

Items in red below denote IC trigger criteria

Annual Value ACV (>=£25m)	£31m
Total Contract Value (>=£100m)	£36m (10 yr nominal)
Margin Expectations (Contract and Trading)	Contract 13.7% Trading 9.0%
Bid Costs (>=£1m)	£0.75m (Under review)
Peak Cash Requirement (>90 days sales, £5m de minimis)	£3.4m
Equity investment (any)	Nil
Capex (>=£0.5m)	£12m (incl. leases & MTT)
Contract Length (>=10 yrs)	5 + 5
Geography (New)	UK
Capability (New)	Existing
Contracting Structure (JV or similar Partnership, PFI/PPP)	Serco Prime
Inherent Risk (High)	Medium
PCG, Financial Guarantees & Letter of support (up to £50m)	Nil

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Executive Summary & Approval Sought

Executive Summary

The bid team would like to focus on the following five key areas:

	Key Topics	Discussion areas
1	ITPD Strategy & Negotiation Topics	• Presentation of the ITPD Strategy & Key Negotiation topics for Dialogue • Pricing Strategy and flight path through to ISFT submission
2	Commercial Strategy	• Explanation of approach and identification of the key areas we are marking up at ITPD
3	Transition & Deliverability	• Overview of the Plan on a page (POAP) and critical path • Competitive significance of presenting a compliant project plan that is deliverable by OCD July 25
4	PBSC & Supply Chain	• Current position and progress achieved with PBSC since Gate 3 • Overview of GAP risk
5	Risk & Sensitivities	• Financials 5 yr £140m @ 9 .2 % CP • Net sensitivity analysis delivers minor financial downside exclusive of opportunities • Opportunity presents a 40% uplift on base figures with equal or greater % profitability

Approval Sought

- **Bid Team are recommending continuation and submission of the ITPD proposal**

Actions and Developments from Gate 3

Action Noted & Ownership	Action Taken	Open/closed
Details of any action noted at previous gate and actionee(s)	Activity undertaken to meet required action	
More clarity is provided on the scope of work of PBSC within the overall solution	Update has been provided via the solution black hat. The Appendix contains content to support this action	*Closed*
More detail is provided on bid strategy, and how Serco is positioning itself to the customer in response to what the customer is buying.	Update to be provided within the deck and Executive Summary slides, Please see slides XYZ	*Closed*
Verification with Group Finance (NC) on the accounting treatment of the proposed capex requirements.	TBC by Celyn	*Closed*
Regular updates are provided on the status of the negotiations with PBSC, with material open issues and material gap identified and discussed well in advance of Gate 4	Regular updates have been provided on progress on the outstanding issues and the current gap risk. Please see slide XYZ for current position	*Closed*

	Material Developments (if Any – or leave blank)
Changes in Scope	No change
Changes in procurement	ITPD process has been extended, no further change in the timetable has been communicated to date
Change in Serco's ability to win	No change
Changes in risk	No change
Changes in financials	Refinement of the costs have been achieved with reductions achieved in frontline staffing, PBSC costs, spares
Changes in delivery structure or partners	No change

ITPD Strategy

What do we want to achieve from our ITPD Proposal?

Serco is their supplier of choice going into the dialogue process where our solution, commercial approach and price is the benchmark / barometer to what all other bidder's submissions are compared against, capturing the momentum and cadence going into and during dialogue

How do we achieve this outcome?

1. High quality technical response – targeting a maximum technical score of 48 / 60
2. Deliverability of operational commencement date by July 25 – Achieved. See MTT slide XYZ
3. Surpass ISFT compliance threshold of 90% – Achieved 91%. See slide XYZ
4. Affordable. Assume budget envelope (like for like scope) is as close to £28m pa ex of capex & MTT – Achieved £25m
5. Target minimal price differentiation against competition – Achieved a c15% price differentiation based on forecast ISFT pricing
6. Proportionate, objective and sensible commercial mark up – Achieved. See commercial proposal slide XYZ
7. Presentation of data in support of our solution assumptions, cost drivers and benefits to enable comparison with other bidders approach

What do we want to discover / test that shall inform our strategy during dialogue?

1. Affordability envelope and Capex / Opex budget – The client has not communicated their position
2. Whom is the economic buyer and what are their drivers – we only have the views of the TFL contract team
3. What is the client prepared to sacrifice or trade for a lower price against compliance, performance, deliverability and proven capability?
4. Commercial drivers – fully understand what is driving the key decisions and desired outcomes
5. Service System model – investigate the whether novation and run of existing PBSC instance offers improved VFM and client appetite

Expected Competitive Visualisation of Bidders ITPD Proposals

Client is likely to receive three very different proposals from all bidders making it challenging to evaluate, score and compare. A key objective within our proposal is to enable them to leverage Serco's offer as the benchmark to enable and support comparison. Especially in the areas that are competitively sensitive.

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- Technical compliance: 91%
- Technical Score: 30-40 (48 max)
- Price: c£145m
- OCD Deliverability: < 7 months
- MTT complete: 15 months
- Commercial: High compliance

Solution themes:
1. Evolution of Service Systems
2. Refresh of on-street assets
3. Low risk & expediated transition

Tembici

- Technical compliance: < 70%
- Technical Score: <30
- Price: c£120m
- OCD Deliverability: >12 months
- MTT complete: >24 months
- Commercial: < Med compliance

Solution themes:
1. Refresh of Service systems
2. Retrofit of on-street assets
3. High risk transition

Beryl

- Technical compliance: < 80%
- Technical Score: <35
- Price: c£120m
- OCD Deliverability: >12 months
- MTT complete: 24 months
- Commercial: < Med compliance

Solution themes:
1. Reuse & refresh of Service systems
2. Retrofit of on-street assets
3. Medium risk transition

Negotiation Register for Dialogue

The client's approach currently favours Serco and delivers competitive differentiation. Therefore a key theme is to maintain the status quo and prevent change. However, we have identified several key topics that we shall look to influence and shape through Competitive Dialogue

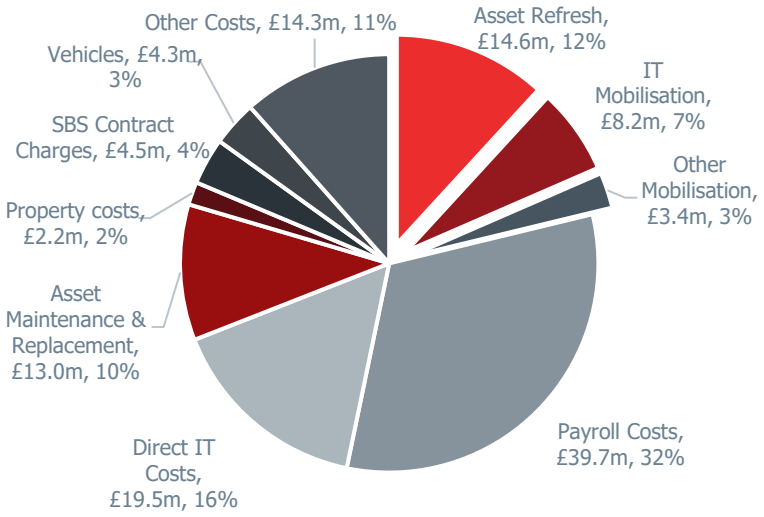
Category	Topic	Outcome
MTT	1. Novation and run of the existing PBSC System instance 2. Authority key milestones specifically OCD of July 25 3. LD's and Incentivisation payments 4. On-street infrastructure due diligence	1. Test viability, benefit and client acceptance of this approach 2. Retain the client's existing MTT plan driving risk to other bidders 3. Propose an incentivisation LD plan that does not penalise < OCD 4. Agree an appropriate PI relief during implementation
Scope	1. Scale up the volume of e-bikes 2. Removal of non-compliant requirements	1. Existing client aspiration of 4-5K from 2k. Improves PWIN 2. Identified areas - Digital channels & payment. Improves compliance & increases quality score
Performance	1. Relaxation of several of PIs that are undeliverable	1. Acceptance of Serco PI proposal
Contract & Evaluation	1. Authority Responsibilities 2. 10 yrs evaluation	1. Acceptance of the principle of ARs and specific areas of concern e.g. transition 2. Acceptance of a 10 yrs evaluation model. Improves PWIN based on price efficiencies driven by electrification

Finance & Commercial Summary

P&L 000's (Real)	10-year TCV (nominal)	5-year evaluation (real)	0	1	2	3	4	5
Invoicing profile	306,742	144,146	3,931	44,319	25,762	24,516	22,809	22,809
Total Revenue	**306,742**	**144,146**	**-**	**40,017**	**27,894**	**25,412**	**25,412**	**25,412**
Total Contract Costs	(263,958)	(123,159)	(4,304)	(34,987)	(19,861)	(21,090)	(21,467)	(21,450)
SBS contract charges %	3.4%	3.1%		2.3%	3.2%	3.5%	3.5%	3.5%
Contract profit	**42,785**	**20,986**	**(4,304)**	**5,030**	**8,033**	**4,321**	**3,944**	**3,962**
Contract profit margin %	**13.9%**	**14.6%**		**12.6%**	**28.8%**	**17.0%**	**15.5%**	**15.6%**
SG&A	(14,417)	(6,775)	-	(1,881)	(1,311)	(1,194)	(1,194)	(1,194)
SG&A %	4.7%	4.7%		4.7%	4.7%	4.7%	4.7%	4.7%
Trading profit	**28,368**	**14,211**	**(4,304)**	**3,149**	**6,722**	**3,127**	**2,750**	**2,768**
Trading profit margin %	**9.2%**	**9.9%**		**7.9%**	**24.1%**	**12.3%**	**10.8%**	**10.9%**
Lease interest charge	(833)	(353)	-	(123)	(98)	(72)	(44)	(16)
Notional interest on negative cash	(306)	(290)	-	(290)	-	-	-	-
Overall PBT	**27,228**	**13,569**	**(4,304)**	**2,736**	**6,624**	**3,055**	**2,705**	**2,752**
PBT Margin %	**8.9%**	**9.4%**		**6.8%**	**23.7%**	**12.0%**	**10.6%**	**10.8%**

£144.1m total 5-year evaluated price

£133.6m total 5-year evaluated contract cost base



£306.7m 10-year nominal TCV
including indexation and extension, excluding Change

13.7% Contract Profit
£42m 10-year nominal
9.0% TP + 6.2% SG&A
(diluted by 0.1% adverse inflation impact in nominal P&L)

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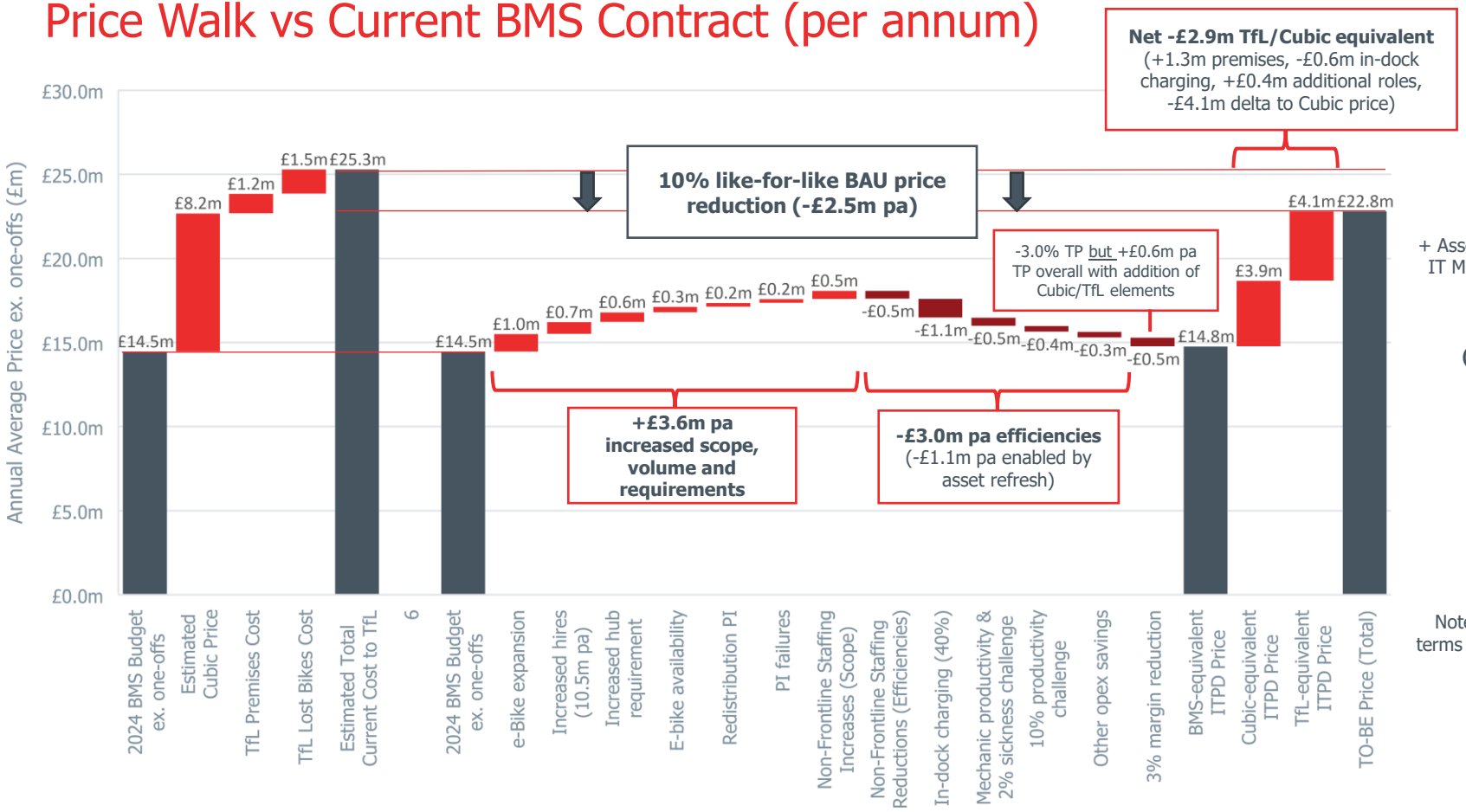
Price Walk vs Current BMS Contract (per annum)



→ **x 5 years = £114.0m**

+ Asset Refresh	£17.1m
IT Mobilisation	£9.5m
Other MTT	£3.5m
£144.1m (5-year evaluated price)	

+ 5-yr Extension = £258.2m (real TCV)

+ Indexation = £306.3m (nominal TCV)

Note: All values in price terms including 13.7% CP

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Margin Sensitivities

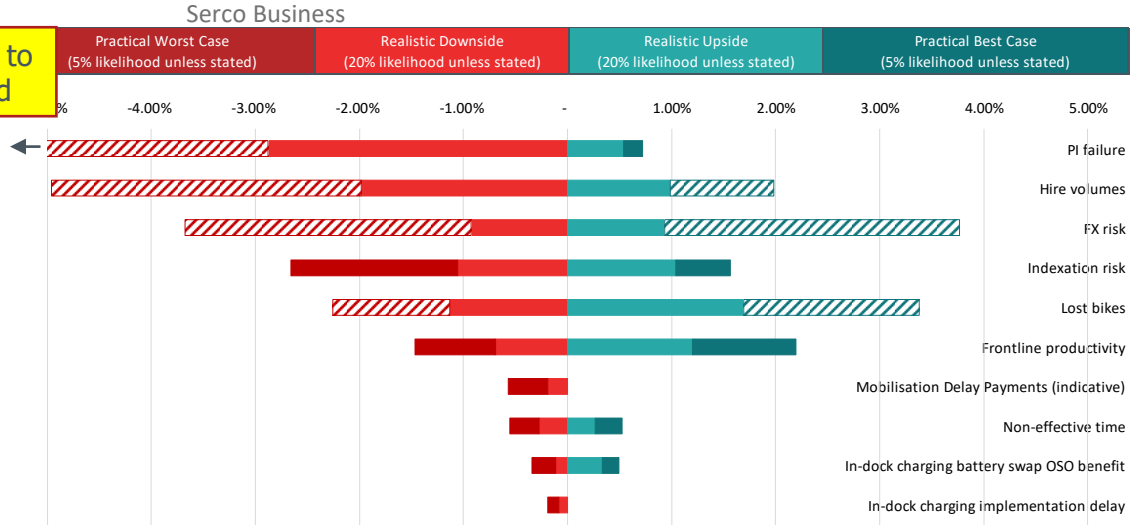
BH figures - to be updated

Weighted average risk = -0.7% TP, not yet priced
(excludes items below on basis these will be marked up)

*** Hatched downside bars** denote contractual risks that we are marking up at ITPD. In some cases we are marking up to a less exposed position than the solid bars show (e.g. hire volumes) but the solid bars represent a reasonable expectation of the post dialogue position

**** Hatched upside bars** denote reasonably expected trade-offs against marked-up downside risks above

*** Some upside scenarios show **n/a** as the sensitivity is considered to be one-way only. Where this is the case the probabilities of other scenarios have been reapportioned for the purpose of the weighted average risk calculation



Practical Worst Case (5% likelihood unless stated)			Realistic Downside (20% likelihood unless stated)			P&L Base (50% likelihood unless stated)	Realistic Upside (20% likelihood unless stated)			Practical Best Case (5% likelihood unless stated)		
TP Impact	%	Description	TP Impact	%	Description	R&O Description (£31,107k & 9.3% TP)	Description	%	TP Impact	Description	%	TP Impact
-58,014	-17.3%	£5m pa (capping out at 20% of fixed fee) *	-9,669	-2.9%	£1m pa failure	PI failure: £200k pa failure costed within base case	£50k pa failure	0.5%	1,813	£nil failure	0.7%	2,417
-16,654	-5.0%	15.8m trips pa (3.5/bike/day in line with other major cities) *	-6,661	-2.0%	12.6m trips pa (2021/22 trips per bike per day, with 2,000 e-bikes)	Hire volumes: 10.5m trips pa (mandated Authority assumption, 2018-2023 average)	9.5m trips pa (partial recovery from 2023 levels)	1.0%	3,331	8.4m trips pa (2023 levels) **	2.0%	6,661
-12,127	-3.7%	20% fall in GBP vs USD *	-3,032	-0.9%	5% fall in GBP vs USD	FX risk: £0.79 USD/GBP as of 04/03/24	+5% rise in GBP vs USD	0.9%	3,032	+20% rise in GBP vs USD **	3.8%	12,126
-9,615	-2.7%	-0.5% pa compound indexation shortfall	-3,886	-1.1%	-0.2% pa compound indexation shortfall	Indexation risk: Cost inflation in line with revenue indexation (CPI capped at 5% pa)	+0.2% pa compound indexation benefit	1.0%	3,941	+0.3% pa compound indexation benefit	1.6%	5,932
-7,579	-2.3%	120 per month (+50%) *	-3,790	-1.1%	100 per month (+25%)	Lost bikes: 80 per month (per data room)	50 per month (-25%)	1.7%	5,685	20 per month (-50%) **	3.4%	11,369
-4,924	-1.5%	Zero frontline productivity gains versus AS-IS	-2,332	-0.7%	5% combined frontline productivity gains versus AS-IS	Frontline productivity: 10% combined frontline productivity gains versus AS-IS	20% combined frontline productivity gains versus AS-IS	1.2%	4,029	30% combined frontline productivity gains versus AS-IS	2.2%	7,386
-1,917	-0.6%	90 days at £20k per day (indicative - delay payments not yet defined by customer)	-639	-0.2%	30 days at £20k per day (indicative - delay payments not yet defined by customer)	Mobilisation Delay Payments (indicative): Zero delay payments assumed in base case	n/a ***	-	-	n/a ***	-	-
-1,865	-0.6%	24% (in line with AS-IS)	-920	-0.3%	23%	Non-effective time: 22% (2% sickness challenge versus AS-IS)	21%	0.3%	896	20%	0.5%	1,770
-1,157	-0.3%	20.0% (significant failure in in-dock charging solution)	-382	-0.1%	15.0% (partial failure in in-dock charging solution vs ITPD)	In-dock charging battery swap OSO benefit: Base case 12.5% (ITPD position pending further analysis to validate theoretical best case)	5% (partial delivery of delta to theoretical upside below)	0.3%	1,138	1.5% (theoretical best case as per electrification modelling)	0.5%	1,664
-626	-0.2%	6-month delay (Aug 26)	-281	-0.1%	3-month delay (May 26)	In-dock charging implementation delay: In-dock charging fully implemented by Feb 26	n/a ***	-	-	n/a ***	-	-

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Opportunities Overview

Serco's BMS contract has delivered YoY 30-40% TCV uplift through change. We have reason to believe that Cubic Systems contractual value has similar if not greater opportunity for change.

Opportunity	Type	Description	Materiality (quant or % revenue)	Comment	Include in price or opportunity upside
Geographic Expansion	Variable Income	The scheme is restricted to zone 1 & 2. Expansion into adjacent areas shall drive investment in Service deliverables and infrastructure	+10- 20% Revenue	Client has demonstrated a clear interest and intent to expand, but this is budget permitting	Opportunity upside
Introduction of other Vehicles	Variable Income	Possibility of introducing different types of vehicles into the scheme e.g. scooters	+10% Revenue	This is dependency upon the business case and current trials proving successful	Opportunity Upside
Service System Change	Change Control	Post OCD it is expected that new features shall continuously be requested	+10% Revenue	Insight suggests that Cubic generate c£4m per annum of change control system requests	Opportunity Upside
Increase in Electrification	Change control	Purchase of e-bike above the current forecast of 2000 bikes would require further investment in the installation of charging stations	+5%	Based on previous discussions with the client there is an expectation that a 40% fleet profile is a clear intent. Current at 15%	Opportunity Upside

Financial Investment Metrics

Project Data			
Contract Length		10.0 yrs	
Revenue Start Date		Aug 2025	
Project Risk		Medium	
		PWin: 50%	PGo: 80%

P&L			
Total revenue	Nominal £k	306,751.9	
Max annual revenue	Nominal £k	44,333.3	
PBT total	Nominal £k	27,217.9	8.9%
Profit Margins		**Average**	**Minimum**
Annual PBT	%	8.9%	-69.6%
Annual Trading Profit	%	9.2%	-67.9%

Post Tax Cash		Incl. Bid Costs	Excl. Bid Costs
Peak cash requirement	Nominal £k	9,059.9 (Jan-26)	9,059.9 (Jan-26)
Payback		13 months (Aug-26)	13 months (Aug-26)

Balance Sheet Impact			
Capex (incl lease + intangibles)	Nominal £k	15,876.2	
Total lease payments (incl interest)	Nominal £k	9,098.7	
ROIC	%	Average : 121.1%	Min : -893.2% (2025)

Investment Metrics		Nominal £'000	
Bid costs	Nominal £k	To PB : 0	Total to CA : 0
Bid return (PAT / Bid Costs)	Ratio	Weighted : 0	Unweighted : 0
Post tax NPV	Nominal £k	10,611.6	DF : 12%
Post tax IRR	%	85.8%	

Key changes from last submission

Nominal TCV of £307m represents 10-year deal, including extensions and indexation, for the core contract only, i.e. Fixed Service Charge, Milestone Payments and initial Docking Infrastructure Refresh required to be priced at bid stage. It does not include future bike or e-bike purchases or other change activity, which historically has been at c.20-30% of the fixed fee.

Reduction of £34m versus £341m at Gate 3 is driven by operational efficiencies not assumed at Gate 3, negotiation of lower PBSC costs, and exclusion of anticipated e-bike sales that had been previously. With the prospect of future asset sales, scheme expansion and change activity the overall size of the potential opportunity is likely to meet or exceed the Gate 3 figure.

Evaluated price of £144m is in real terms for the initial five-year term only. See earlier slides showing price walk versus current contract and P2W considerations. **9.0% PBT + 4.7% SG&A.**

Tax / Accounting / FX or other hedging

Accounting treatment has been reviewed with Group Accounting:

- Terminal and e-bike refresh constitute distinct performance obligations with costs expensed upon delivery and revenue recognised upon installation / delivery to the customer, in line with treatment of e-bike sales currently. Refresh programme spans year-end therefore 2-month lag between cost and revenue accounts for £6.8m of **£8.1m loss at CP level in 2025, reversed in early 2026**. Possibility timelines will shift to the right by ISFT removing this issue.
- All other core revenues including mobilisation have been recognised flat across the term (mobilisation across the initial term only). PBSC's IT development costs and Serco's property fit out and professional costs capitalised and spread over initial term. Potential to capitalise other elements of IT spend and programme activity subject to further review, but expensed currently.

Contract mark-up to address FX risk which lies with the operator per current drafting. We will seek opportunity to re-price USD elements at Contract Award at which point we would hedge for initial term with Authority taking cost/benefit versus ISFT submission, per guidance from Treasury.

Capex, Funding and Bonding

- **Peak cash £9.1m** in Jan 26 due to c.3-month working capital delay on transition milestones and asset refresh referenced above. Cumulative cash position turns positive in Aug 26.
- Bulk of mobilisation activity commences in Jan 25 at Contract Award, but plan assumes **£284k pre-contract work at risk** from Oct to Dec 24. PBSC have committed to the delivering their programme post-Award / at their risk, with no need for Serco to fund their activity prior to CA.

Nominal P&L (10 Years)

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P&L 000's (Nominal)	Contract total	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
Invoicing profile	306,742	-	21,113	44,269	25,425	27,856	26,647	27,309	27,987	28,683	29,396	30,126	17,932
Total Revenue	**306,742**	**-**	**12,769**	**44,331**	**28,124**	**28,823**	**29,540**	**29,031**	**27,987**	**28,683**	**29,396**	**30,126**	**17,932**
Payroll costs	(94,838)	-	(3,922)	(8,638)	(8,711)	(8,929)	(9,152)	(9,381)	(9,616)	(9,856)	(10,102)	(10,355)	(6,176)
Other employee costs	(280)	-	(10)	(25)	(26)	(27)	(27)	(28)	(29)	(29)	(30)	(31)	(18)
Insurance	(4,406)	-	(158)	(388)	(399)	(420)	(431)	(441)	(452)	(464)	(475)	(487)	(290)
Vehicles	(1,335)	-	(49)	(120)	(123)	(127)	(130)	(133)	(136)	(140)	(143)	(147)	(87)
SBS Contract Charges	(10,527)	-	(411)	(957)	(972)	(1,007)	(1,021)	(1,045)	(1,076)	(1,092)	(1,117)	(1,151)	(679)
MyTechnology Direct IT costs	(3,863)	-	(138)	(336)	(344)	(396)	(361)	(372)	(426)	(388)	(400)	(458)	(242)
BU Direct IT costs	(43,238)	-	(1,594)	(3,898)	(3,997)	(4,097)	(4,199)	(4,304)	(4,412)	(4,522)	(4,635)	(4,751)	(2,828)
Property costs	(26,106)	-	(618)	(1,510)	(1,753)	(2,698)	(2,765)	(2,835)	(2,905)	(2,978)	(3,053)	(3,129)	(1,863)
Utilities	(5,761)	-	(154)	(376)	(416)	(585)	(599)	(614)	(629)	(645)	(661)	(678)	(404)
Spares & lost bike replacements	(30,010)	-	(1,121)	(2,706)	(2,774)	(2,846)	(2,914)	(2,987)	(3,062)	(3,142)	(3,217)	(3,297)	(1,945)
Station maintenance	(1,346)	-	(143)	(127)	(38)	(108)	(132)	(135)	(138)	(142)	(145)	(149)	(89)
PI failure	(2,408)	-	(89)	(217)	(223)	(228)	(234)	(240)	(246)	(252)	(258)	(265)	(158)
Procured services: Subcontractors	(747)	-	(28)	(67)	(69)	(71)	(73)	(74)	(76)	(78)	(80)	(82)	(49)
Other costs	(3,028)	-	(161)	(394)	(377)	(252)	(259)	(266)	(275)	(282)	(289)	(296)	(176)
Expensed MTT costs	(20,200)	(284)	(11,557)	(8,302)	(57)	-	-	-	-	-	-	-	-
Amortisation of capitalised MTT costs	(4,816)	-	(290)	(940)	(1,001)	(1,001)	(1,001)	(584)	-	-	-	-	-
Depreciation of fixed assets (excl. leased)	(2,783)	-	(99)	(238)	(334)	(817)	(817)	(477)	-	-	-	-	-
Depreciation of leased assets	(8,265)	-	(304)	(744)	(763)	(783)	(804)	(824)	(842)	(863)	(886)	(910)	(542)
Total Contract Costs	(263,958)	(284)	(20,847)	(29,983)	(22,379)	(24,391)	(24,919)	(24,740)	(24,321)	(24,873)	(25,492)	(26,185)	(15,546)
SBS contract charges %	3.4%		3.2%	2.2%	3.5%	3.5%	3.5%	3.6%	3.8%	3.8%	3.8%	3.8%	3.8%
Contract profit	**42,785**	**(284)**	**(8,078)**	**14,349**	**5,746**	**4,432**	**4,620**	**4,291**	**3,667**	**3,810**	**3,904**	**3,941**	**2,386**
Contract profit margin %	**13.9%**		**-63.3%**	**32.4%**	**20.4%**	**15.4%**	**15.6%**	**14.8%**	**13.1%**	**13.3%**	**13.3%**	**13.1%**	**13.3%**
SG&A	(14,417)	-	(600)	(2,084)	(1,322)	(1,355)	(1,388)	(1,364)	(1,315)	(1,348)	(1,382)	(1,416)	(843)
SG&A %	4.7%		4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%
Trading profit	**28,368**	**(284)**	**(8,678)**	**12,265**	**4,424**	**3,077**	**3,232**	**2,927**	**2,351**	**2,461**	**2,522**	**2,525**	**1,543**
Trading profit margin %	**9.2%**		**-68.0%**	**27.7%**	**15.7%**	**10.7%**	**10.9%**	**10.1%**	**8.4%**	**8.6%**	**8.6%**	**8.4%**	**8.6%**
Lease interest charge	(833)	-	(58)	(122)	(97)	(69)	(38)	(72)	(139)	(110)	(78)	(43)	(8)
Notional interest on negative cash	(306)	-	(151)	(155)	-	-	-	-	-	-	-	-	-
Overall PBT	**27,228**	**(284)**	**(8,887)**	**11,988**	**4,327**	**3,008**	**3,194**	**2,854**	**2,213**	**2,352**	**2,444**	**2,482**	**1,536**
PBT Margin %	**8.9%**		**-69.6%**	**27.0%**	**15.4%**	**10.4%**	**10.8%**	**9.8%**	**7.9%**	**8.2%**	**8.3%**	**8.2%**	**8.6%**

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Contract Mark-Up Approach & Strategy

- In consideration of the black hat feedback and guidance, that proposed a less combative stance, we have prepared a summary of key terms which we intend to negotiate (and those which we intend to accept) and have agreed this with the key workstream leads (ops/finance/legal) and selected black hat challengers (see Appendices for detail).

- Our mark-up will be based upon the following principles:
  - Seek to accept terms that are based upon the current risk profile unless the reaggregated solution increases the risk profile;
  - Where the previous point is true, consider on balance, whether the topic is an emotive shift for the customer that isn't worth raising and if negotiating the point benefits the competition more than Serco and therefore decreases PWIN
  - Consideration of whether the customer has moved on the position previously OR is their ask not standard in the industry
  - Seek to reduce our need to risk price in order to offer the best value for money solution and where possible we will ensure we have credible data to inform TTL of the cost of the required obligation
  - We will only accept obligations which we are capable of managing and which would not give rise to breach (in particular taking into account PBSC/Lyft commitment/pushback)
  - We will seek to ensure financial deductions are appropriately bound and capped with no double recovery

- The final commercial negotiation register will be reviewed with the core team to ensure we have set the appropriate customer tone, have listed negotiation points in line with the ITPD Strategic objectives and ensure that we have a collective understanding of the priority of issues and critical points for Serco for the negotiation phase.

- It is worth highlighting that the customer will not accept a material risk transfer in relation to the T&Cs so once negotiation is complete we will present an updated risk position via governance in advance of ISFT.

PBSC – Subcontract Status

Background

- PBSC are a key subcontractor who are required to deliver a significant proportion 26% of the contract.
- A decision was made in 2023 to partner exclusively with them.

Progress to Date

- Our contracting approach has been to seek appropriate flow down of the prime contract whilst also seeking to agree a flow up to the authority of PBSC standard SLAs and exclusions (network/AWS downtime etc) at dialogue stage.
- PBSC have had sight of the draft contract since summer 2023 and taken several months to provided high level feedback (not mark-up) in February 24
- Feedback called out several areas that they would like to be included in our dialogue discussions but provides no indication despite several workshops as to what they might concede if we are unable to agree an improved position at dialogue stage.
- Regular workshops are being held between Serco commercial and PBSC legal but it is unlikely that PBSC will provide further clarity on their position until the outcome of the dialogue phase is known.
- There is currently a significant gap risk between the Prime and Sub-contract that will not be quantifiable until post-dialogue stage.
- PBSC have changed position favourably regarding Escrow in the event of insolvency (see next slide).

Approach Post ITPD Submission

- Seek to negotiate and mitigate out certain risks via dialogue with the Authority. We believe the Authority will be pragmatic when negotiating and there is previous precedent in the current contract where the Authority have moved to a more favourable position.
- PBSC will be kept informed during dialogue phase and the intent will be to crystalise PBSC's position in real time as we progress each area of dialogue.
- Once final prime contractual position is understood, further negotiations with PBSC with a view to close risk gap to the extent possible (mindful that our negotiation leverage is not substantial).
- Where a gap risk remains we will conduct gap analysis on potential heads of loss and bring back to governance.

PBSC – Subcontract Status

Key Issues

- **PBSC Insolvency (partially mitigated)**
  - PBSC have agreed in principle to place everything required including IPR and the right to contract on commercial terms with the supplier base into Escrow with NCC and will ensure that Serco can contract directly with Lyft (PBSC parent company) to continue to benefit from any Lyft provided software modules.
  - PBSC have also confirmed that in the event of insolvency, Serco will have immediate access to the production server that the system runs on within AWS.
  - Ongoing risk lies with Serco availability of staff with knowledge to use the materials in Escrow.

- **Lyft divestment of PBSC (partially mitigated)**
  - PBSC have confirmed in this event they would still be able to obtain required licences from Lyft in order to use the required Lyft software modules.
  - Additionally, a purchaser of PBSC would likely value the ability to continue to deliver to the LCH contract and therefore insist on licence agreements ahead of purchase.

- **PBSC adherence to MTT timescales (currently unmitigated)**
  - Authority risk/reward mechanism not yet known and PBSC have been asked to but not yet agreed to concept of risk/reward mechanism for MTT milestone delivery.
  - Risk/reward mechanism to be agreed with PBSC post ITPD submission.

Transition

ITPD proposal communicates a 18 month two phase implementation plan achieving an operational commencement date and Phase 1 complete within seven months. The phase 1 complete timeline is challenging but strategically important in maintaining our PWIN position

Strategic importance of OCD complete by July 25 (< 7 months):

- Competitively, no other bidder should be able to present a deliverable proposal withing the timeframe. A key differentiation
- Relaxation of this requirement shall naturally lead onto the extension of the Cubic contract (part of the Tembici consortium). This outcome shall increase the dependency on Cubic support and cooperation and potential high costs that Cubic may or may not trade against to improve PWIN
- Any delay to the implementation of electrified bike charging terminals increases our frontline staffing costs and reduces PWIN compounded by a short evaluation term of 5 yrs

Phase 1 Transition status and issues:

- Successful execution is heavily dependent upon PBSC delivering on time within two key areas: a) Design, build, test b) delivery of product on time to the requisite quality
- At ITPD we have a level 1 plan agreed with PBSC, at first principles, that presents a solid and robust response to the client. However, it shall require further scrutiny and alignment over the coming weeks and matured during dialogue
- PBSC have positioned a high level of confidence in the delivery of their scope of work within the proposed timelines
- Serco has identified several areas within the PBSC's plan that potentially overstates effort and duration of their activities: e.g. a) set-up of cloud instances and non-functional configuration b) level of effort attributed to development c) Dev, build and test cycles. This provides a level of confidence there plan is achievable within the 7 months. We shall work with PBSC post submission to refine

LCHS Rebid Level 0 Plan

Contract Commencement Date | 2025 | Operational Commencement Date | 2026

Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | Nov | Dec | Jan | Feb | Mar | Apr | May | June | July

Pre - Mob | *Mobilisation & Planning* | *Design & Development* | *Testing* | *Migration* | *Assurance*

M7 | M8 | M14

Stage 1 – Operation of the London Cycle Hire Scheme | **Stage 2 – Asset Refresh**

Business Readiness

Programme Management

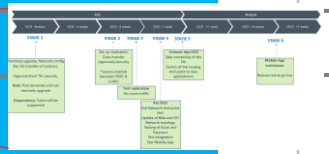
- M1 Mobilisation of Project Team and planning
- Baseline plans
- Governance, Reporting, Risk management, Stakeholder Management and Communications
- M2A - Detailed Transition Plan
- Review, baseline and execute of Phase 2 plan
- M2b Service System Detailed Design Complete

Service Systems Design/ Development and test

- BSS System design, development, build and test v1
- Finance Engine, Control Room Call Centre, Service Now Config, Enhanced DPO
- Service MI&A and Reporting, Incident Management & Automation
- M2E Test Strategy
- M4 Phase 1 – Service System Integration Testing
- Testing Complete & Service Proving
- M5
- M2b Service System Detailed Design Complete
- BSS System design, app development, build and test v2
- M13 Phase 2 – Service System Integration Testing
- Operational Tools optimisation (eg MAS v8 and Maximo capability)
- Firmware upgrade to enable electrification

Service Systems Migration

- Data Migration
- App go live



Assets

- M2C
- M2D
- M6A
- M3B
- Detailed & final Bike Spec sign off
- Docking Station Design sign off
- Pre-testing assets prior to
- shipping
- Initial production for testing
- M6B
- Testing in the UK
- PBSC Product supply and integration
- Build & Commission and (electric station)
- Build & Commission (non-charging station)
- Phase 1 – Electrification
- Phase 2 – Non Charging stations refresh
- Docking Station Assets Operational Readiness M10
- Infrastructure decommissioning
- M11 Local Acceptance Installation
- M12 Docking Station Commissioning Acceptance
- Due Diligence of On Street assets
- M2D
- Sites Design sign off
- M3C
- M5

Operations & Business processes

- Engage with Cubic
- TUPE consultation-Cubic
- Training
- M9 Initial Operations Review (M9)
- HoT's-Bow
- Legal's/fit out quotes-Bow
- Fit out for staff occupation-Bow
- Premises relocation planning and execution (out until 2027)
- M3A - Business Operations Planning to New Target Operating Model
- OP's delivery (TOM, processes, etc)
- Electrification of fleet in line with current leasing agreements

Finance, Legal & Commercial

- Final Contract & Third party contracts set up and support to Assets design sign off, Insurance Finance Structure, SAP set up, Internal finance governance

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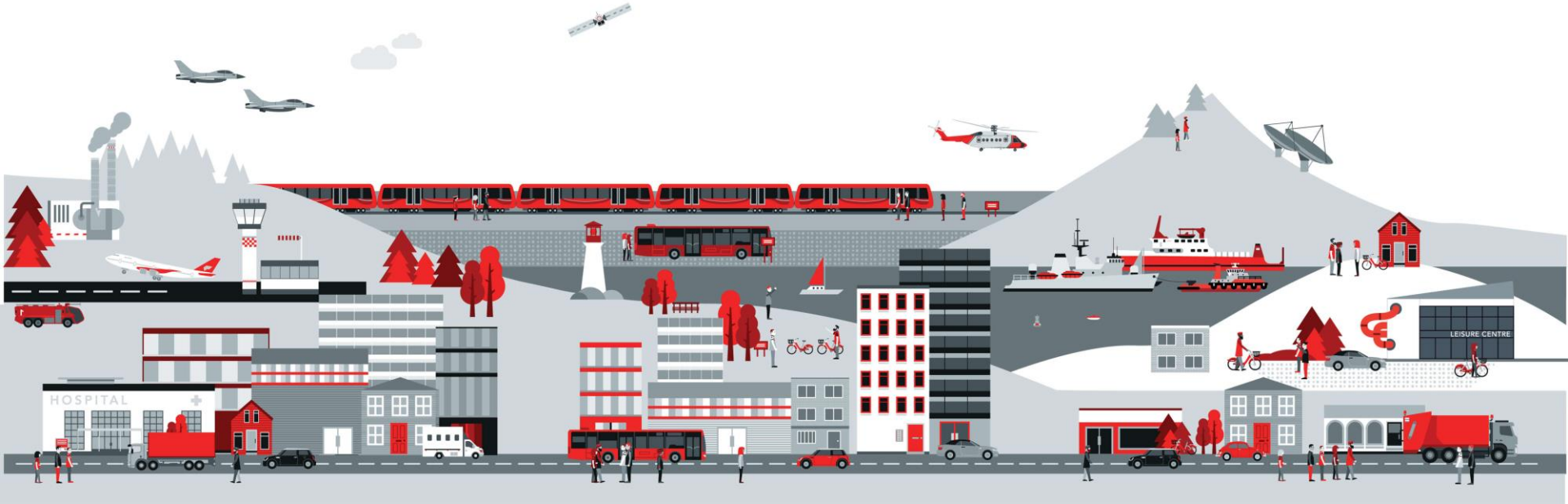


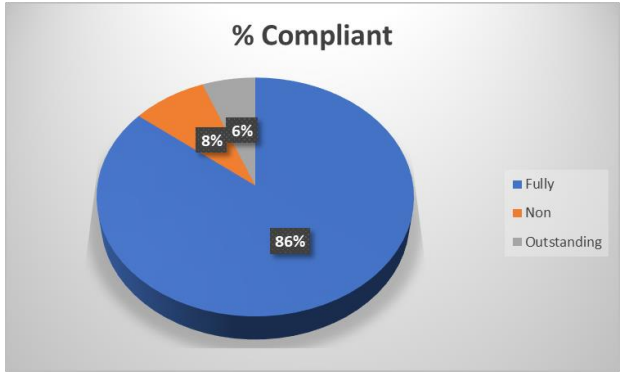
Customer Key Requirements

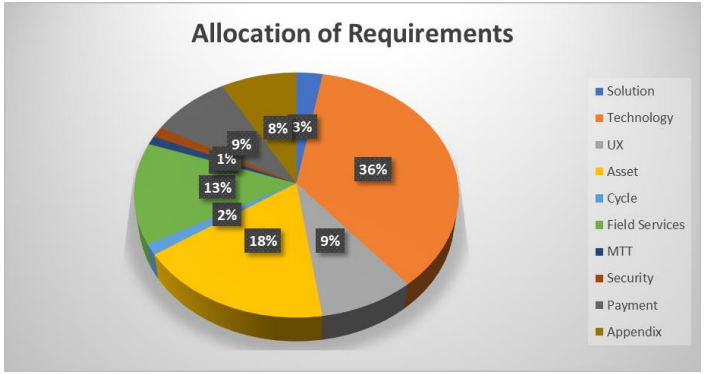
	Summary
Understanding Customer requirements	• We are utilising partners to deliver the large proportion of service, these partners are highlighted in the delivery structure slide, we have also in the capabilities overview slide highlighted any changes or new additions to the current services. • PBSC will deliver the Bike Sharing Scheme and Mobile Application system along with the construction of the new terminals. We will utilise Kelly's and ITS to deliver the on-street replacement of terminals and rely on ourselves to manage the transition plan and deliver the replacement financial and management reporting, integration and Service Mgmt tooling. • The key decision we have made for the this submission are highlighted in the ITPD solution Key Decision slide 22 and compliance to the clients requirements are highlighted in the solution compliance slide 21

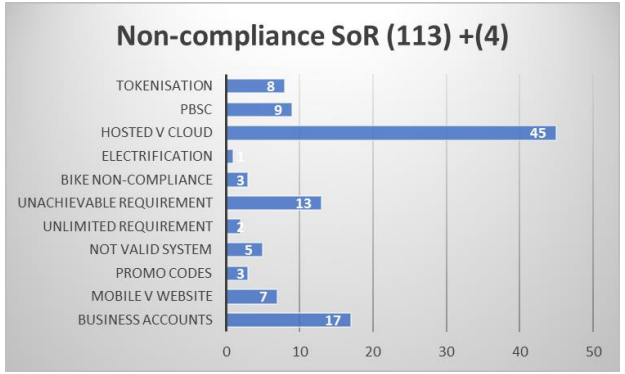
Solution Compliance

Serco shall confirm a 91% level of compliance at the ITPD stage as opposed to the minimum threshold set at 61%

- 1284 Requirements in Schedule 2 Parts A – E
- Further 116 in Appendix 1,12 and 14
- ITPD Submission 60% compliance
- ISFT Submission 90% compliance







Tokenisation
Client has recently introduced tokenisation and as such the legacy requirements in SoR go against the fundamental principles of the new solution

PBSC
Requirements that are currently not delivered in the current system that TFL are utilising and are perceived as legacy

Hosted v Cloud
Legacy requirements that are associated to hosted on premises solution

Electrification
Requirement for delivery of full electric fleet by 2025

Bike Non-compliance
IP classification on electric components

Unachievable
SLA that can not be met

Unlimited
You must do this and anything we can think of when we change our minds

Not Valid System
Bike Sharing System act as a Contact Centre

Promo Codes
Attempting to add more than one promo code per user

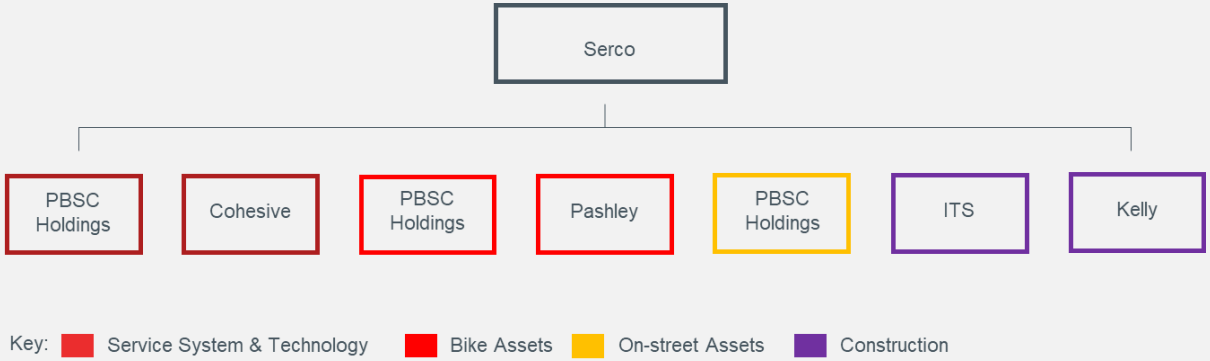
Mobile v Website
Conflict against initial requirement of Mobile to be primary app

Business Accounts
Has to be done manual rather than be the user, which is current working position

Delivery Solution (1/7) - Partners and Sub-contractors

	Summary
Partner & Subcontractor Selection	• The Client has coached Serco in the selection of PBSC Urban Solutions as our key supplier based out of NYC & Montreal. The combination of Serco & PBSC provides the client with service excellence & continuity and arguably the most mature and robust micro mobility platform • PBSC is a subsidiary of Lyft Inc and a micro mobility market leader supporting 45 cities globally and operates several successful North American bike Share Schemes such as New York, San Francisco and Washington • PBSC shall provide the Digital App, Website and the bike hire operating system, implementation of the payment gateway, vehicles and street infrastructure that is in use today. PBSC shall also provide professional services during the MTT phase and in-life application support and management. Serco has previously partnered with PBSC/Lyft and we have a long-standing delivery and commercial relationship
Commercial Arrangements	Status of Key Subcontracts: • Value of subcontracts: PBSC =28%, Pashley = 7%, cohesive 2%, Kelly 1%, ITSL - = 1% • Negotiation status, key terms agreed/outstanding, what level of certainty do we have in relation to the Subcontractors pricing (i.e. have Ts and Cs been sufficiently agreed? • Have performance requirements been agreed • What level of risk have we transferred to the subcontractors • What termination rights do we have and what benchmarking or other VfM clauses have we agreed? • Have security packages been discussed and priced by subcontractors? • Has Due Diligence been completed? • Highlight any areas that are not back to back flow down, where there is a material gap in flow down or where Serco holds unusual risk in relation to the subcontractors delivery of services. (e.g. small key subcontractors that this contract could cause an overtrading situation) • Confirm that all mandatory flow down requirements have been agreed Identify any material changes from the key terms proposed for the teaming agreements at Gate 3?

Delivery Solution (2/7) – Delivery Structure

Solution Component	Summary
Delivery structure	Serco shall perform the role of prime contractor and shall be entering into sub-contract agreements with the identified supply chain 
Customer Requirements and Competitiveness	The delivery structure provides an optimum solution comprised of "best athletes" within their respective area of scope and capability. The collective strength provides unparallel experience of delivering a bike share service into London and possesses clear differentiation in service performance, transition and micro mobility product quality and systems
Risks and Opportunities	Key risk resides in the system migration of the core bike sharing systems upon which we are wholly dependent upon PBSC to deliver. The solution design and its deliverability has been assured through the black hat performed in March 2024

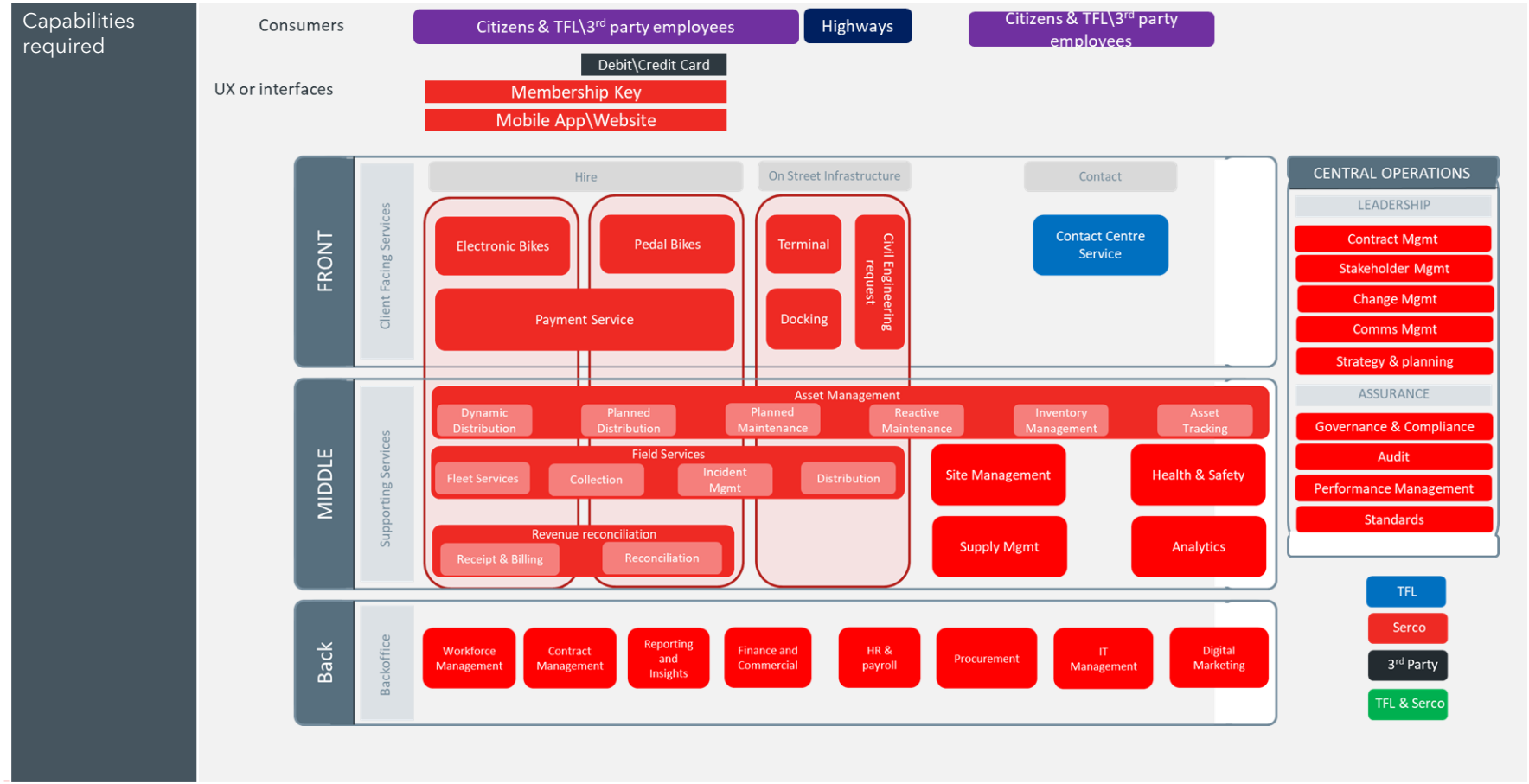
Delivery Solution (3/7) – People

	Summary
Describe solution detail	**Please provide the following information:** • Overall Headcount at ITPD: • Organisational structure of delivery is comprised of a mgt structure broken down into the core functional disciplines of Commercial & contract mgt, HR & HSE, Technology and Operational delivery of front line services. Front line services are broken down into the core functional activities of bike maintenance, distribution of bikes, triage and collection of faulty bikes and on-street maintenance & servicing • No material change programme is envisioned • Key roles have been aligned to the client key personnel criteria and identified from the existing BMS contract team. Key programme and technology transition role shall need to be sourced • TUPE transfer is limited to 24 personnel and on-street electrical engineers • Serco has entered into an agreement with the RMT Union and collective bargaining is present • The FTE requirement is based on the existing productivity KPIs delivering the BMS service to date, amended to support a more challenging performance regime. (quoting non effective time, productivity and attrition assumptions) • Provide a summary of how we have assembled people costs eg including salary, training costs and other on-costs including benefits and pension considerations and explain what benchmark data has been used to verify these. On Pensions please ensure that if we are taking on any defined benefit schemes, funding and deficit considerations are taken into consideration. • How has people cost inflation been treated • ITPD solution is an evolution of the exiting operating model adjusted to the revised changes in the performance regime. Post ITPD the operating model shall be reviewed and a more competitive figure reflected within the final ISFT
Customer Requirements and Competitiveness	The people solution is a reflection of 14 years of operating the scheme driving incremental improvement over that term Its is highly probably that our competitors shall propose a more aggressive profile in terms of key productivity metrics Key selling points of our people solution resides in a trusted relationship, recognition of strong and high value operational team that shall transfer onto the new contract once secured
Risks and Opportunities	There are no identified people risks Assurance on the people solution has been via a black hat performed in March 2024 Opportunities exist in the identification of efficiency and new ways of working that drive improved productivity

Delivery Solution (4/7) – Technology

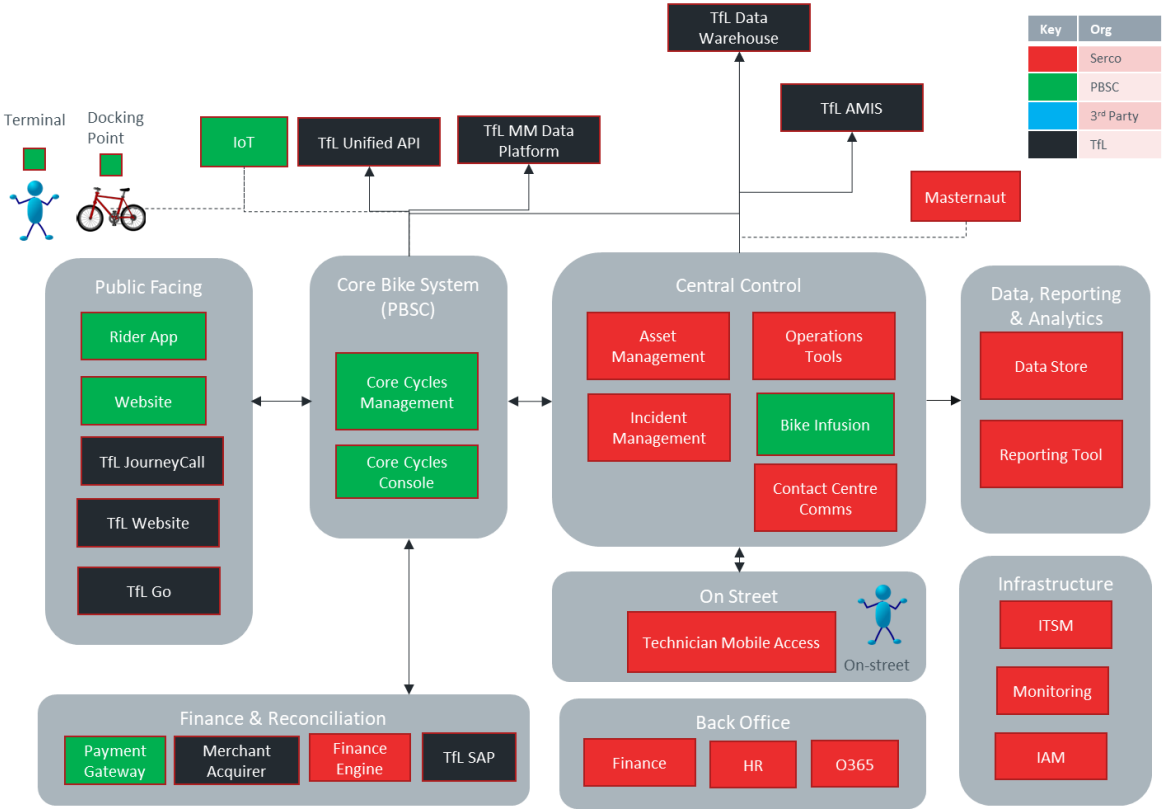
	Summary
Describe solution detail	Please summarise the technology solution that we have proposed: • The complexity of the technology solution is accessed as medium as a result of integrating several proprietary and COTS systems that includes 3rd party systems outside of our control and operation. • Serco does possess relevant and past experience of the systems and its technology as a result of operating the Scheme since 2010. • The core systems are operationally live delivering the scheme today with no evident concerns or risks • Serco shall perform the role of design authority and systems integrator relying upon sub contractors to deliver a managed service. PBSC shall be accountable for Digital channels, Core Bike System and Payment processing. Cohesive shall be accountable for the field Service and asset mgt service. • We hall be handling personnel data. GDPR, Cyber Security and Security assurance have been performed. • Our technology solution proposes a fresh install of the key operational systems therefore no obsolesce exists • Compliance with the contractual IPR obligations are still under review and a topic targeted for dialogue Please confirm engagement of IT team in solution design and confirmation that existing internal solutions have been considered before engaging external providers
Customer Requirements and Competitiveness	Please describe how well the technology solution meets the customers' requirements and expectations. How competitive solution is (consider whether we are more or less competitive or neutral). Key selling points of our solution (i.e. the key attributes that we highlight to win over the customer)
Risks and Opportunities	Summarize the key risks that are inherent in the solution, how these are mitigated Summarize what solution assurance has been undertaken and by who Summarize any inherent opportunities to improve outcomes

Service Architecture Overview



Systems Architecture Overview

- Serco system selection is based upon reuse and enhancement of the deployed & existing tooling and where appropriate use of Serco corporate standards
- The integration with TfL Systems is known and deployed to date with Serco's system selection
- The core risk resides with PBSC and their delivery of the core bike operating system, Digital App and the Payment Gateway



Delivery Solution (5/7) – Assets

	Summary
Describe solution detail	Please provide an overview of assets we deploy/operate as part of the solution • We shall be procuring premises, fleet, bikes and on-street infrastructure including spares. • Funding for the assets shall be procured during the transition phase of the programme against milestones? There shall be incremental purchase of bike and on-street infrastructure as spares through out the life of the contract funded through the agreed annual fixed price • Serco shall perform the role of design authority for the whole scheme but shall flow design vulnerabilities to its sub-contract PBSC where appropriate • Procurement of assets to support the transition programme is critical and the supply of them when needed is a material risk • A core win theme is the reuse of existing assets and a customer hot button. They have mandated the use of existing bikes. Serco is familiar with the bike stock and no risk has been identified. During transition the existing on-street infrastructure shall be transferred to Serco post contract award. These assets are end of life and present a risk in Serco ability to delivery the client more challenging Pis. Serco's proposal is seek relief during that interim period and perform due diligence • The performance regime key indicators are associated with a) bike availability and b) maintenance of both bikes and on-street infrastructure. Serco has designed a solution to meet these Pis in all cases except on-street infrastructure which are onerous and undeliverable. Serco are proposing to dialogue these onerous Pis during dialogue • The contract is annual priced contract based baselined against bike hire volumes, the size of the fleet and on-street infrastructure. There are contractual provisions whereby the client is seeking to pass on the risk of lost bikes requiring the refresh of assets • A key Hand back requirements is the provision of an asset base that have a lifetime expectancy of 15yrs on a potential 10 yrs contract. The exit provision are common and familiar to the model services agreement and government playbook
Customer Requirements and Competitiveness	The asset solution meets the clients requirements in full. A key differentiator is the robustness of a) docked solution and b) stations that are electrified
Risks and Opportunities	The key risk is incurring MTT delay payments due to late delivery of assets and subsequent loss of benefit due to inability to right size the workforce as a result of station electrification The solution has been assured through the recent black hat performed in March 2024

Delivery Solution (6/7) – Mobilisation, Transition and Transformation

	Summary
Describe solution detail	Please summarise the Mobilisation Transition and Transformation programme (Use **Appendix** to show the programme timeline, key workstreams, critical path and contingencies): • Key milestones, what is being delivered by when? • Key assumptions and dependencies that drive the timetable and critical path items? • Acceptance tests/handover criteria, are these well defined and objective? • Outline the consequences for failure to achieve milestones set out in the programme • Are there contractual long stop dates, what impact of not meeting these? • Are there any Liquidated Damages (how much, are they capped, sole and exclusive remedy) • Are there any third party contracts being novated? • Outline the MTT delivery team and the key workstreams. Nominate the Transition Director. • Confirm that resources are available to deliver the MTT programme, or if not where gaps/weaknesses exist. • Summarize the key MTT risks and mitigations including any programme contingencies • Outline the proposed Governance structure of the MTT programme. • Is there a longer term transformation requirement? What is our approach to this in the context of developing a competitive bid. Where opportunity is a Rebid, please provide details of the approach and how we are positioning this with the Customer as a competitive advantage (i.e. lower transition cost and risk being our advantage as incumbent).
Customer Requirements and Competitiveness	Please describe how well our MTT solution meets the customers' requirements and expectations. How competitive solution is (consider whether we are more or less competitive or neutral). Key selling points of our solution (i.e. the key attributes that we highlight to win over the customer)
Risks and Opportunities	Summarize the key risks that are inherent in the solution, how these are mitigated Summarize what solution assurance has been undertaken and by who Summarize any inherent opportunities to improve outcomes

Delivery Solution (7/7) – Inward Investment, Social Value, Environmental

	Summary
Describe solution detail	Please describe any other requirements the Customer has outlined and how we have structure our solution to address these matters which might include: • Serco is aware that inward investment is a hot topic for TFL which informed our decision to continue with the Pashley pedal bike a UK branded SME based in the Midlands • Serco's supply chain has taken a proportionate approach across its supply chain and shall contract with several SMEs in the fulfilment of services and supply of parts. However, as a proportionate value of the TCV the SME contribution is circa 9% • The provision of 'social value' or other local societal contributions we not requested as part of the evaluation, TFL focus is on inward investment, emissions, environmental and sustainability compliance e.g. compulsory requirements to implement a fully electrified feet by 2025
Customer Requirements and Competitiveness	Our solution is compliant with the social value/Inward Investment, environment and employment requirements Competitive intelligence suggests our solution is as good or more competitive than other bidders
Risks and Opportunities	No risks identified

Legal

ITT/Term	Benchmarking/ Market Testing	Termination	Compensation on Termination	Relief Events
• SSQ – TfL reserves right to reject if we do not meet the minimum criteria (60% pass on SoR) • Main contract is for 5 years with extension(s) of up to 5 years at A's discretion. • Markup at ITPD stage and dialogue after and T&Cs not binding until ISFT **but** no major changes/material risk transfers from ITPD • Tender submission to remain valid for 1 yr	• Can be benchmarked once up to Milestone 7 (Operational Readiness Complete) and then on a 12 monthly basis thereafter • Serco can provide reasonable input into the benchmarker who has to use comparable services/suppliers but they do have the discretion and can benchmark individual service elements.	• Typical rights but can terminate for change of control if they believe it will impact them (in their discretion) • Critical Service Failure – Ops team consider some SLAs impossible to meet so by association this is not acceptable • 20 days to remedy breaches before termination for cause	• Breakage costs (unavoidable and reasonable costs and expenses) on termination for convenience – we need to seek full cost recovery for all bulk orders of bikes/ docking station infrastructure even if not fully complete as PBSC have demanded this	• Relief / Compensation process available if we can demonstrate a Relief Event materially contributed to the failure but for certainty we have to list out Authority obligations • Force majeure covers "natural catastrophe" so could be wide enough to argue it covers covid but clause doesn't specifically cover pandemics.
Performance regime	**Payment terms**	**Employment/Pensions**	**Sub-contractors / flow down**	**Asset Risk/ due diligence**
• Stringent bike/docking station/system availability (see separate slide) • Risk of loss/theft is with Serco • Liquidated Damages / incentive payments on implementation are TBD at dialogue • Concept of Enhanced Co-Operation under a remedial plan where we have to devote resources and allow more scrutiny	• MTT phasing is TBC • In-life = 30 days of receipt • Gainshare if over 12% profit • Indexation – CPI capped at 5%, no floor • Seek to negotiate uncapped indexation (PBSC will not take risk)	• Serco incumbent for majority of Services so risk lower but TUPE will apply to Cubic staff and Serco take terminal redundancy liability • There is no TUPE true up for inherited Cubic staff. Need to list assumption on those inherited as there is a risk Cubic could try to retain ICT staff which we need	• PBSC are Key Sub-Contractor but we will have a gap risk as are unwilling to take full risk transfer (see separate slide) • Financial solvency is a concern – PBSC/Lyft have resisted PCG / bond but have stated they will grant escrow for software and hardware designs	• Serco responsible for systems integration risk – CQ re detailed terms on which the current cubic/Lyft system may be novated • Seeking process for signoff of/performance relief in respect of inherited docking station assets as many in poor condition. • We are only granted premises until 2027, we have priced in for a proposed future premises and we take the risk on obtaining at that cost.
Limits of Liability	**Exclusions from Liability**	**IPR/IT**	**Regulations/ Authorisations**	**Parental Security**
• Annual cap: greater of £25m or 150% of charges paid or payable. • TfL cap £10m aggregate • Indemnity against revenue collection and payment – capped as above • Uncapped: TUPE, IPR, enhanced co-operation rights, fraud/ABC, premises damage, PCI DSS breach indemnities	• Indirect, special & consequential losses are excluded but they call out certain heads as direct loss: • Re-procurement costs • Lost bike hire revenue (if we fail to deliver) • Compensation paid to third parties • Cost of licencing current IT system beyond milestone for new system	• We will seek to negotiate a narrow licence to use for the term for London geography • PBSC/Lyft have stated in principle we can have escrow over s/w and cycle/docking station design rights where insolvency triggers	• Bikes are a largely unregulated industry but: • PCI / DSS compliance for payments – we need to ensure robust assurance using SMEs from other parts of the business and/or external legal advice; and • Groundworks (may be required in limited instances) will involve CDM Regs and require approvals e.g. street closure	• PCG required on typical terms will apply to CoSec before ISFT.
Governing law and process	**Insurance Obligations**	**Trading Principles derogations**	**Data/GDPR**	**Change in Law**
• England & Wales, exclusive jurisdiction of English Courts	• Deductibles and amounts TBD in dialogue • Need to discuss rider liability claims as these should be TTL's responsibility • Typical cover but also: • Material Damage on "All Risks" basis for Assets that we have control over to full replacement value, loss or damage to Works, Cyber Risks and Goods in Transit	• As listed in these tiles	We will be processing customer and payment data – DPO team engaged Uncapped indemnity for breach of Data Protection provisions. Authority can require reconstitution of lost data.	• General Changes in Law will be at Serco's cost • Specific Change in Law is subject to Variation procedure • PBSC will not take change in Law risk

NB: Yellow highlighting denotes items requiring negotiation after ITPD submission or internal follow-up

Payment Mechanism

	Summary
Payment Regime	The payment mechanism will comprise the following elements, following a similar structure to the current BMS contract. At ITPD our approach is to map all elements of Mobilisation and Asset Refresh into the respective elements of the fee rather than the Fixed Service Charge, minimising working capital requirements. • Milestone Payments (Firm) – not yet fully defined • Fixed Service Charge • New Bicycle Purchases (Rate Card) • New Docking Station Asset Purchases (Rate Card) • Docking Station Expansions, Docking Station Changes and Mobile Docking Station Commissions (Rate Cards) Indexation will apply to all elements other than milestones as follows: • CPI for staff and non-staff (currently AWE for staff under BMS) – we will seek LLW for frontline staff given Authority requirement to pay LLW, otherwise accept CPI • Annual increases capped at 5% with no collar (currently no cap/collar on non-staff; 5% cap, 0% collar on staff) – seek LLW as above with no cap; otherwise accept • First indexation step at Operational Commencement Date, annually thereafter (i.e. Aug 25 first step, creating effective base date of Aug 24 which aligns with ISFT submission) – accept (noting, however, that ITPD staff cost pricing reflects Sep 23 TUPE data only, as per Authority instructions) Gainshare will apply above 12% profit (to be clarified whether this will be at CP or TP level). Respective shares determined according to level of excess profit (i.e. first 4% 75:25 in favour of Supplier, next 4% 50:50, thereafter 25:75). Unlikely to move Authority on this, therefore accept with assumption 12% is at TP level. FX risk borne by prime. Given quantum of PBSC spend we will mark this up, proposing ability to re-price USD elements of Milestone Payments and the Fixed Service Charge at Contract Award (Jan 25), hedging at that point for the initial five-year term at the Authority's cost/benefit. Do not accept FX risk for extension or rate cards. Responsibility for replacement of lost, stolen or damaged bikes lies with the operator, unlike under the current contract. We have priced c.£1.3m pa cost for this based on historic run rates but will mark this up on the basis we will also be subject to PI 26 Bike Recovery measuring attempted recovery times (not success rates).

Performance Mechanism

	Summary
Performance regime	26 Performance Indicators (PIs) will be measured monthly across key areas such as servicing, bike/e-bike availability, full/empty stations, bike recovery, docking station maximum faulty time, systems availability and performance, and data and reporting. The PIs are more onerous than under the current contract (e.g. Bicycle Availability 92% vs 82% currently; Docking Station Availability SFPs per instance of failure versus overall % rate currently). Failure of PIs will attract Service Failure Points (SFPs) and corresponding financial deductions. A ratchet mechanism will apply for Repeat Failures. Deductions will be capped in aggregate at 20% of the periodic Service Charges each month. Individual PIs will be subject to individual caps but TfL will have the ability to change these on a rolling basis, provided the aggregate 20% cap is not exceeded and individual caps do not exceed 8% (40% of aggregate cap). The payment mechanism includes drafting notes for potential inclusion of liquidated damages (LDs) for failure to meet transition milestones, but no detail has yet been provided. This will be discussed in dialogue. Our assessment of the individual PIs is set out across the following two slides.

Performance Indicators – Frontline Operations (1-13 & 26)

PI(s)	PI Title	Acceptable Service Level (ASL)	RAG	ITPD Solution Designed and Costed to Achieve ASL	Calculation of SFPs Acceptable at ITPD	ITPD Compliant	PBSC Flow-Down
1	Planned Bicycle Servicing	100% within 365 days		Yes	Yes	Yes	No
2	Bicycle Availability	92.0% (daily low point)		Yes – 20% float included for bikes (£nil assuming carry over of current excess) and e-bikes (£1m), headroom in mechanic productivity, in-dock charging from Feb 26	No – c.£1-2m p.a. per historic data; risk of low level failure)	No – Mark-up with recalibrated SFPs. Accept ASL but with VfM commentary to simplify and recalibrate at dialogue and bedding-in period pre-Feb 26	No
2a	e-Bicycle Availability	92.0% (daily low point)					No
3-8	Docking Stations – Maximum Time Full or Empty	**P0** Max 4 > 30 min **P1** Max 60 > 60 min **P2** Max 25 > 120 min **P3** Max 10 > 240 min **P1W** Max 10 > 30 min **P2W** Max 30 > 60 min		Yes – resourced at 40 additional redistribution jobs per day and costed residual low level SFPs	Yes - with risk pricing for residual low level failure	Yes – Accept but with VfM commentary to simplify and recalibrate ASLs and SFPs at dialogue	No
9-11	Docking Station Availability	**P1** 99% (8.4 min/day per station) **P2** 95% (42 min/day per station) **P3** 90% (84 min/day per station)		No – not possible to attend and fix in 8.4 mins. Priced to lower ASL (see right)	No – c.£130m p.a. based on Cubic 22/23 data	No – Mark-up with lower ASL (P1 95%, P2 90%, P3 75%) and recalibrated SFPs	Yes
12	Terminals – Maximum Faulty Time	< 24 hours continuously across all terminals		Yes	Yes	Yes	Yes
13	Docking Points – Maximum Faulty Time	< 72 hours cumulatively across all DPs (>99.999%)		No – not achievable across 21.5k DPs	No	No	Yes
26	Bicycle Recovery	100% attempted within 24 hours (e-bikes 12 hours)		TBC – BRT resourcing being reviewed, current size of team would result in significant failure	TBC	TBC – decision pending as to whether to mitigate via extra resource or mark-up	No

Performance Indicators – System & Compliance (14-25)

PI(s)	PI Title	Acceptable Service Level (ASL)			RAG	ITPD Solution Designed and Costed to Achieve ASL	Calculation of SFPs Acceptable at ITPD	ITPD Compliant	PBSC Flow-Down
14	Applicable Service System Availability	99.9% (<40 mins downtime per 28-day period, only where service-impacting, at customer's discretion, excluding planned downtime)				Partially – PBSC BSS SLA 99.9%, but other elements outside our control (AWS, network)	Yes - low value, BSS financially backed off, AWS not	TBC – consider need to mark-up given low value nature; clarify exclusion of website/app below	Yes
15	Accuracy of MIS Data	**Severity 1** 5 WDs	**Severity 2** 10 WDs	**Severity 3** 30 WDs		Yes	Yes	Yes – include assumption of reasonableness; clarify report categorisation	No
16	Agreement Compliance	100%				Yes	Yes	Yes – clarify definition of "critical" breaches	No
17A	Timely, Complete and Correct Provision of Reports	100%				Yes	Yes	Yes	No
17B	Submission and Agreement of Key Reports	100%				Yes	Yes	Yes – clarify definition of Key Reports	No
20	Website and App Availability	99.9% (<40 mins downtime per 28-day period, excluding planned downtime)				Yes – PBSC SLA 99.9%	Yes – backed off financially with PBSC	Yes	Yes
21	Website and App Performance	99.9% < 100ms round trip time				Yes – provided external latency factors are excluded from measure	Yes – not backed off but tolerable (max £15k/month)	Yes – clarify exclusion of external latency factors (e.g. device, network)	TBC
22	System Performance	99.9% within required response times (various)				No – required response times are non-standard and outside our control	Yes	TBC – consider need to mark-up given low value nature	TBC
23	Payment Settlement File Timeliness	100% by 06:00 next day				Yes – automated solution	Yes	Yes	No
24	Payment Accuracy	100%				No – further information required from TfL, partially outside our control (e.g. refunds)	No – high value given number of transactions (£1.5k each)	No – mark-up both ASL and SFP calculation	No
25	Terminal Reporting	100% by 08:00 next day				TBC	TBC	TBC	TBC

Key Commercial Risks

Risk	Description	RAG	Impact	ITPD Strategy
Volume Risk	Fixed fee payment mechanism does not align with variable operational demand profile, which is driven by trip volumes and other variables outside Serco's control. At ITPD stage, bidders are required to price on 2018-23 five-year average trip volumes (10.5m) but this masks large fluctuations in recent years (2022: 11.5m record year, 2023: 8.4m 10-year low due to tariff change). This risk is not new as the current BMS contract is also a fixed fee, but Serco has benefitted in recent years from lower usage, and the re-procurement is now taking place at a 10-year low point from which usage is likely to rebound due to forthcoming e-bike expansion and reversal of tariff changes in 2024.		Increased staffing resulting in margin erosion. Bid team low-to-mid case estimates of 12-13m would require an additional 20-30 FTE (£0.8-1.2m p.a.).	We have CQ'd the 10.5m figure as appearing low but the Authority has confirmed bidders are to price at this level at ITPD stage. We will mark-up the payment mechanism on the basis of the 10.5m with a +/-10% cap and collar outside which an automatic Authority Change would be triggered, resulting in an opportunity to re-price. (Equivalent to c.-/+ 1% exposure on margin.) Other options to be discussed in dialogue, e.g. introduction of a variable element to the payment mechanism or relaxation of PIs.
Indexation	Indexation mechanism is CPI-based with a cap of 5% each year and no floor. Separate requirement to pay LLW in new contract. During the current BMS contract Serco negotiated AWE for staff costs with a cap of 5% and 0% floor. Non-staff costs were left unchanged with CPI and no cap or floor.		Margin erosion	Mark-up the payment mechanism at ITPD stage seeking LLW with no cap for frontline staff in line with requirement to pay LLW. Accept CPI with 5% cap for other elements of cost base.
FX Risk	PBSC pricing for development, ongoing IT, and e-bikes and docking infrastructure are in USD. Risk of FX fluctuations pre-award and over contract life resulting in margin uncertainty.		Margin uncertainty	Mark-up payment mechanism to allow USD elements to be re-priced at CA and hedge at that point for initial term with Authority taking cost/benefit versus ISFT submission. Also mark-up rate card elements.
Lost Bike Risk	Currently sits with TfL but ITPD draft contract passes risk to operator through requirement to maintain agreed bicycle number		Margin erosion	Lost bike replacements have been costed at ITPD stage at a rate of 8% pa (£1.3m pa) in line with data room. Mark-up at ITPD to discuss VfM at dialogue.

Key Commercial Risks

Risk	Description	RAG	Impact	ITPD Strategy
Performance Indicators (PIs)	Significantly enhanced PI regime versus current contract, due to a combination of higher targets (e.g. bike availability from 82% to 92%) and more granular, daily nature of SFP calculations (e.g. per instance and daily averages, versus monthly averages currently). 20% cap; able to be reallocated across PIs each month.		Varies by PI. Some are highly disproportionate, some can be delivered albeit at increased cost.	Where we can, we have designed our ITPD solution to deliver against the PI regime. In certain areas this has attracted additional cost (e.g. additional RDOs for full/empty stations PIs). In other areas the service levels are not achievable and will mark-up the PI schedule at ITPD stage accordingly. Across both categories there are examples of SFP values being highly disproportionate even where service levels are achievable. These will also be marked up (see separate PI table).
Operational Assumptions	In addition to trip volume assumptions, operational staffing levels are highly sensitive to a number of key operational metrics which drive the volumetric staffing model (e.g. red button press rates, yellow tag rates, productivity rates for workshop and on-street processes).		PI deductions and/or increased staffing.	Like-for-like staffing efficiencies assumed via implementation of in-dock charging and frontline productivity improvements. Further work being performed as we progress past ITPD on both data science and process engineering to assure deliverability and improve PWIN for ISFT submission.
Mobilisation Timescales	Seven-month mobilisation from Contract Award (Jan 25) to OCD (Aug 25) is challenging.		LDs not yet defined by Authority, potentially onerous. Delay to in-dock charging resulting in increased battery swap in Y1.	No LDs assumed in ITPD pricing. Discuss at dialogue. Delay to in-dock charging sensitivity presented in sensitivities.

Key Operational Risks

Risk	Description	RAG	Mitigation Plan
PBSC Business Failure	D & B rating – medium to high risk of failure. Failure to deliver the contract mobilisation and/or in life resulting in LDs, Service Credits, loss of profit and in the worst case termination.		• Seek ESCROW over code and designs • Financial – price risk of failure into bid proposal • Operational – pro-active mgt of PBSC: Co-located Mobilisation Team in the US, a BCDR plan to stand up a support team to provide continuity during MTT and in-life
Cubic TUPE Retention	Failure to retain key talent (electrical engineers and technical engineers) and unable to provide full service resulting in service credits		• Operational – Plan & price for a proportion of recruitment failure • Contractual – Carve out relief with Authority
PBSC MTT Milestone Failure	A 7 month OCD is challenging. PBSC fail to meet their delivery milestones (System delivery and/or delivery of parts/spares). Incur LDs, Loss of profit.		• Operational – Solution is to novate existing PBSC instance • Contractual – list Authority dependencies we can rely on for relief/delay compensation • Contractual – flow down proportionate risk to PBSC • Contractual – negotiate LDs to minimise exposure • Price – Price the delta / residual risk
PBSC Product Performance	Supplied product is not 'fit for purpose' and delivers a lower than expected level of performance that increases costs e.g. charging management, theft		• Contractual – seek specific output/performance specification from PBSC and warranty claim if not met • Utilising our own industry leading experience we can build in contingency to our programme and stock forecasting
Asset Condition	Assets transferred are not fit for purpose, require replacing and unplanned investment increasing costs		• Contract - Seek to agree with the Authority a due diligence phase and acceptance thresholds with relief (and/or compensation if delay)
Technology Integration and Deployment	Performance PI failure due to failure of e2e integration of all Serco, PBSC and TfL systems. Potential liability for revenue collection and loss of revenue		• Operational – provision the right calibre of skills to deliver scope of system migration activity • Operational - due diligence conducted during bid and mobilisation • Contractual – carve out relief with the use of dependencies and exclusions for related parties e.g. Networks/AWS
Technology - Dependencies	Solution dependent on Client providing API / real time data interfaces. If not provided and without consequential relief, significant additional costs may be incurred		• Contract – seek relief/compensation linked to failure of specific Authority dependencies • Price - risk price element

Price/Score To Win, Competition and Commercial Approach

Evaluation	Summary
Price and Score to Win (PTW)	The customer has not communicated an affordability envelope or given sight of its internal budgets. Competitor price analysis is highly uncertain on this opportunity due to a variety of factors: • Investor backed SMEs hungry for business, with different overhead structures, margin expectations and risk appetite to Serco, • Unique service-based contract in London compared to concession-based, revenue sharing models elsewhere, • Changing and uncertain customer requirements (e.g. 60% compliance at ITPD, high number of CQs unanswered, complexities of contract reaggregation) Nevertheless we have attempted to perform high level Price to Win analysis versus an aggressive bidder, suggesting a potential £15-30m (10-20%) gap versus our current price would not be unthinkable. We have considered the impact that such a price gap at ITPD stage may have on the overall winnability of the deal in two respects: • Whether this could create too large a price differential (/40) to claw back through quality (/60) – see table to right. This is more of a concern at ISFT given there will be no competitive down-select at ITPD, but as an indication a 20% price gap would equate to 6.7 out of 60 (equivalent to +1 grade step (/5) across slightly over half the technical and social value responses) which we believe should be achievable against such a competitor. Note: 1 quality mark out of 60 equates to c.£3.5m over 5 years. • Whether a large price gap at ITPD could lead to TfL more openly considering a fundamental change to the procurement process, benefitting lower-priced, less compliant competitors. We consider a 20% gap to be at the upper end of what would be acceptable to TfL at ITPD stage, mitigating this risk. As we progress past ITPD we will perform further competitor analysis to reach a more developed Price to Win strategy for ISFT, whilst also seeking to move the customer through dialogue to a more favourable evaluation methodology, i.e. evaluating on the basis of a 10-year deal along with a greater proportion of e-bikes in the fleet, to enable improved cost benefit from asset refresh.

Price Gap (£m)	Price Gap (%)	Serco Price Score (/40)	Required Quality Differential (/60)
£nil	0%	40.0	0.0
£7m	5%	38.1	1.9
£14m	10%	36.4	3.6
£22m	15%	34.8	5.2
£29m	20%	33.3	6.7

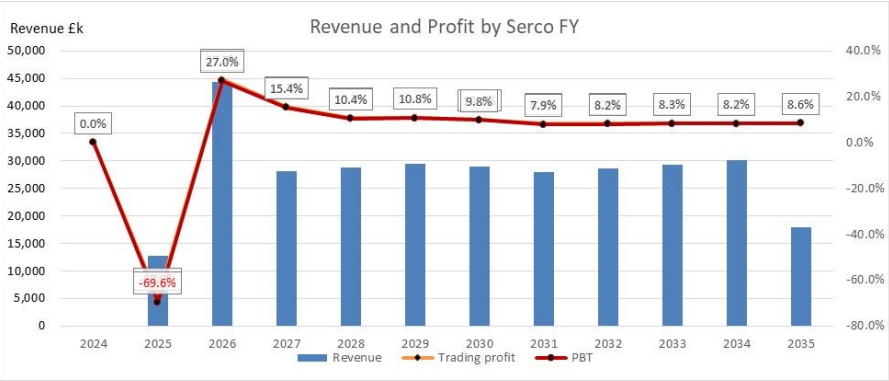
Financial Assumptions and Dependencies

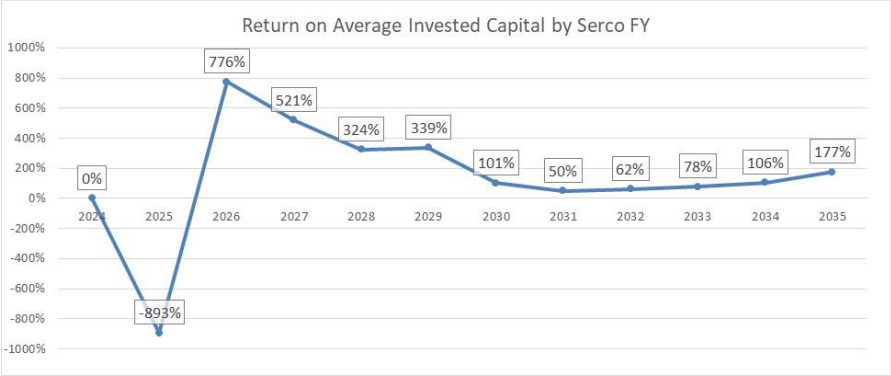
Assumptions	Description
Major assumptions underpinning the financial model and price	REVENUE & INVOICING • Scope & Term – As per the earlier Financial Investment Metrics slide, the base case P&L (£307m nominal TCV) reflects the full 10-year term including docking infrastructure refresh, optional extensions and indexation. It does not include any change revenue or bike/e-bike refresh. • Invoicing – Modelled in line with the contractual payment mechanism, i.e. milestone payments for MTT, upon installation / delivery for asset refresh, and via a monthly fixed service charge for all other elements. 2-month lag between cost and invoicing assumed for MTT and asset refresh elements. • Indexation – Modelled in line with contractual indexation mechanism, i.e. annual uplifts from OCD and annually thereafter, at lower of CPI and 5% (note base case assumes 24/25 Budget CPI forecasts which do not exceed 5% therefore no margin erosion). • Revenue – As per previous slide, asset refresh upon installation / delivery, all other elements including MTT revenue spread over contract life as agreed with Group Accounting (mobilisation elements over initial term only). • No variable revenue or change revenue has been assumed in the Gate 4 base case. • £200k pa likely performance deductions have been assumed in the Gate 4 base case.
	BAU COSTS People Costs • Net change +11 FTE vs TUPE as per variances in tables below. Remaining 66 FTE not listed unchanged. • Frontline roles modelled volumetrically as per next slide, net +7 FTE. • Management, team leaders and support roles – refer to org charts, net + 6.5 FTE. • In cost terms this drives an increase of +£0.8m pa due to a skew towards more senior roles. • Salaries costed in line with TUPE data and salary benchmarking for new roles. Excludes 4.75% Dec 23 frontline pay award – Authority has instructed contract team not to issue updated TUPE data reflecting this until after ITPD. • Frontline incentive payments and targeted use of agency assumed in summer months to drive increased productivity . • Pension and benefits per Global Job Bands and TUPE data. • Redundancies not yet costed. Reductions below being reviewed. • FTE largely based on AS-IS operation per TUPE data (Serco and Cubic) with some adjustments made for changes to scope where known (e.g. additional service integration roles, additional battery swap activity owing to 40% e-bike assumption in base case); • Salaries, pensions and other on costs also based on Sep 2023 TUPE data (Serco and Cubic) or best estimates where necessary • No redundancies assumed at either commencement or contract exit Technology (BAU) • £1.4m p.a. PPSC BAU costs for licencing and support of PSS, based on initial quote (subject to further solution work and negotiation)

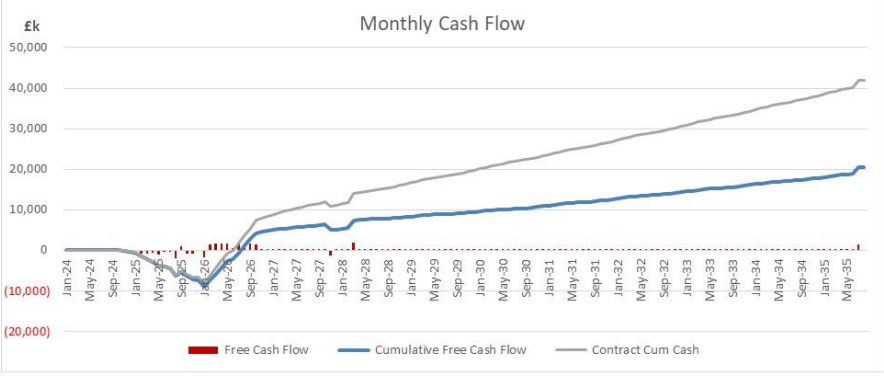
Financial Assumptions and Dependencies (continued)

Assumptions	Description
Major assumptions underpinning the financial model and price	ASSET REFRESH, CAPEX & MOBILISATION • £14.6m docking infrastructure refresh across 815 docking terminals and 21,500 docking points, based on PBSC unit pricing and estimates of civils work. *Note that this figure assumes 60% electrified (charging) stations to enable a fleet comprising 40% e-bikes.* • £8.2m IT mobilisation costs of which £4.5m ($5.7m) relates to PBSC development costs for the new cloud-based BSS platform, which has been negotiated down significantly and which we anticipate reducing further post-ITPD. Remaining £3.7m comprises other IT mobilisation costs including MyTechnology project resource and non-PBSC supplier costs. • £3.4m non-IT mobilisation including property fit out and professional fees, programme team, T&S and other mobilisation spend.
	Capex • £4.5m PBSC development costs and £2.7m property fit and professional costs have been capitalised as per accounting treatment overview on previous slide as agreed with Group Accounting. Both elements have been amortised over the initial 5-year term only. • There may be potential to capitalise other elements of IT spend and programme activity subject to further review, but all other mobilisation and transition costs are expensed in the model currently. • £8.3m of lease accounting capex for new e-van fleet recognised in accordance with IFRS 16.
	Revenue • Revenue for asset refresh recognised recognised upon installation / delivery as per previous slide, on basis this represents a distinct performance obligation as agreed with Group Accounting and in line with current e-bike sales treatment. Costs expensed as incurred.
	Performance • £200k pa likely performance deductions have been assumed within the base case, assuming higher risk PIs are successfully negotiated
	General • Inflation – Wage inflation in line with 24/25 Group forecasts (4.0% in 2024, 2.5% p.a. thereafter); all other costs in line with 24/25 Group CPI forecasts (3.9% in 2024, 3.0% p.a. thereafter) • F/X rate of 0.79USD to £ has been used for supplier amounts from PBSC – contract mark-up at ITPD stage to address FX risk • Payment terms assumed as 30 days • Mobilisation payments assume average 60 day delay between incurring cost and invoicing customer, plus 30 day payment terms • SBS/shared service cost levels costed in line with 2024 rates • PBT 9.0% (diluted by 0.1% adverse inflation impact in nominal P&L), SG&A 4.7% • Other than likely PI failures above, no risk pricing has been included on the basis the base case reflects our most likely view of each assumption. See sensitivities slide for range of potential outcomes
Dependencies	Please refer to other sections of this Gate pack.

Financial Graphs







Nominal P&L (10 Years)

Serco Business

P&L 000's (Nominal)	Contract total	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
Invoicing profile	306,752	-	21,123	44,269	25,425	27,856	26,647	27,309	27,987	28,683	29,396	30,126	17,932
Total Revenue	**306,752**	**-**	**12,770**	**44,333**	**28,126**	**28,825**	**29,542**	**29,032**	**27,987**	**28,683**	**29,396**	**30,126**	**17,932**
Payroll costs	(94,838)	-	(3,922)	(8,638)	(8,711)	(8,929)	(9,152)	(9,381)	(9,616)	(9,856)	(10,102)	(10,355)	(6,176)
Other employee costs	(280)	-	(10)	(25)	(26)	(27)	(27)	(28)	(29)	(29)	(30)	(31)	(18)
Insurance	(4,406)	-	(158)	(388)	(399)	(420)	(431)	(441)	(452)	(464)	(475)	(487)	(290)
Vehicles	(1,335)	-	(49)	(120)	(123)	(127)	(130)	(133)	(136)	(140)	(143)	(147)	(87)
SBS Contract Charges	(10,527)	-	(411)	(957)	(972)	(1,007)	(1,021)	(1,045)	(1,076)	(1,092)	(1,117)	(1,151)	(679)
MyTechnology Direct IT costs	(3,863)	-	(138)	(336)	(344)	(396)	(361)	(372)	(426)	(388)	(400)	(458)	(242)
BU Direct IT costs	(43,238)	-	(1,594)	(3,898)	(3,997)	(4,097)	(4,199)	(4,304)	(4,412)	(4,522)	(4,635)	(4,751)	(2,828)
Property costs	(26,106)	-	(618)	(1,510)	(1,753)	(2,698)	(2,765)	(2,835)	(2,905)	(2,978)	(3,053)	(3,129)	(1,863)
Utilities	(5,761)	-	(154)	(376)	(416)	(585)	(599)	(614)	(629)	(645)	(661)	(678)	(404)
Spares & lost bike replacements	(30,010)	-	(1,121)	(2,706)	(2,774)	(2,846)	(2,914)	(2,987)	(3,062)	(3,142)	(3,217)	(3,297)	(1,945)
Station maintenance	(1,346)	-	(143)	(127)	(38)	(108)	(132)	(135)	(138)	(142)	(145)	(149)	(89)
PI failure	(2,408)	-	(89)	(217)	(223)	(228)	(234)	(240)	(246)	(252)	(258)	(265)	(158)
Procured services: Subcontractors	(747)	-	(28)	(67)	(69)	(71)	(73)	(74)	(76)	(78)	(80)	(82)	(49)
Other costs	(3,028)	-	(161)	(394)	(377)	(252)	(259)	(266)	(275)	(282)	(289)	(296)	(176)
Expensed MTT costs	(20,200)	(284)	(11,557)	(8,302)	(57)	-	-	-	-	-	-	-	-
Amortisation of capitalised MTT costs	(4,828)	-	(289)	(942)	(1,004)	(1,004)	(1,004)	(585)	-	-	-	-	-
Depreciation of fixed assets (excl. leased)	(2,783)	-	(99)	(238)	(334)	(817)	(817)	(477)	-	-	-	-	-
Depreciation of leased assets	(8,265)	-	(304)	(744)	(763)	(783)	(804)	(824)	(842)	(863)	(886)	(910)	(542)
Total Contract Costs	(263,970)	(284)	(20,846)	(29,985)	(22,381)	(24,394)	(24,922)	(24,741)	(24,321)	(24,873)	(25,492)	(26,185)	(15,546)
SBS contract charges %	3.4%		3.2%	2.2%	3.5%	3.5%	3.5%	3.6%	3.8%	3.8%	3.8%	3.8%	3.8%
Contract profit	**42,782**	**(284)**	**(8,077)**	**14,348**	**5,745**	**4,431**	**4,620**	**4,291**	**3,667**	**3,810**	**3,904**	**3,941**	**2,386**
Contract profit margin %	**13.9%**		**-63.2%**	**32.4%**	**20.4%**	**15.4%**	**15.6%**	**14.8%**	**13.1%**	**13.3%**	**13.3%**	**13.1%**	**13.3%**
SG&A	(14,417)	-	(600)	(2,084)	(1,322)	(1,355)	(1,388)	(1,364)	(1,315)	(1,348)	(1,382)	(1,416)	(843)
SG&A %	4.7%		4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%
Trading profit	**28,364**	**(284)**	**(8,677)**	**12,264**	**4,423**	**3,076**	**3,231**	**2,926**	**2,351**	**2,461**	**2,522**	**2,525**	**1,543**
Trading profit margin %	**9.2%**		**-67.9%**	**27.7%**	**15.7%**	**10.7%**	**10.9%**	**10.1%**	**8.4%**	**8.6%**	**8.6%**	**8.4%**	**8.6%**
Lease interest charge	(833)	-	(58)	(122)	(97)	(69)	(38)	(72)	(139)	(110)	(78)	(43)	(8)
Notional interest on negative cash	(313)	-	(158)	(155)	-	-	-	-	-	-	-	-	-
Overall PBT	**27,218**	**(284)**	**(8,893)**	**11,987**	**4,326**	**3,007**	**3,193**	**2,854**	**2,213**	**2,352**	**2,444**	**2,482**	**1,536**
PBT Margin %	**8.9%**		**-69.6%**	**27.0%**	**15.4%**	**10.4%**	**10.8%**	**9.8%**	**7.9%**	**8.2%**	**8.3%**	**8.2%**	**8.6%**

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Nominal Cashflow (10 Years)

Cash Flow 000's (Nominal)	Contract total	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
Trading profit	**28,364**	**(284)**	**(8,677)**	**12,264**	**4,423**	**3,076**	**3,231**	**2,926**	**2,351**	**2,461**	**2,522**	**2,525**	**1,543**
Add back depreciation & amortisation	15,876	-	693	1,924	2,101	2,604	2,625	1,886	842	863	886	910	542
Add back provision expenses	-	-	-	-	-	-	-	-	-	-	-	-	-
Less recognised revenue	(306,752)	-	(12,770)	(44,333)	(28,126)	(28,825)	(29,542)	(29,032)	(27,987)	(28,683)	(29,396)	(30,126)	(17,932)
Add invoicing profile	306,752	-	21,123	44,269	25,425	27,856	26,647	27,309	27,987	28,683	29,396	30,126	17,932
(Increase)/Decrease in receivables	0	-	(2,727)	652	(63)	(42)	(54)	(56)	(57)	(58)	(60)	(61)	2,526
Increase/(Decrease) in payables	0	-	744	(8)	137	21	19	23	27	20	25	29	(1,037)
Operating cashflow	**44,241**	**(284)**	**(1,614)**	**14,769**	**3,897**	**4,690**	**2,925**	**3,056**	**3,163**	**3,287**	**3,373**	**3,403**	**3,575**
Capitalised MTT expenditure	(4,828)	-	(3,804)	(1,024)	-	-	-	-	-	-	-	-	-
Capex Costs	(2,783)	-	(1,190)	-	(1,593)	-	-	-	-	-	-	-	-
Capital repayments for leased assets	(8,265)	-	(278)	(698)	(744)	(793)	(846)	(833)	(790)	(842)	(897)	(957)	(587)
Initial purchase/sale of inventory	-	-	-	-	-	-	-	-	-	-	-	-	-
Provision payments	-	-	-	-	-	-	-	-	-	-	-	-	-
Trading cashflow	**28,364**	**(284)**	**(6,886)**	**13,046**	**1,560**	**3,897**	**2,080**	**2,223**	**2,374**	**2,445**	**2,476**	**2,446**	**2,987**
Interest repayments for leased assets	(833)	-	(58)	(122)	(97)	(69)	(38)	(72)	(139)	(110)	(78)	(43)	(8)
Notional interest on negative cash	(313)	-	(158)	(155)	-	-	-	-	-	-	-	-	-
Tax paid	(6,804)	-	-	(592)	(1,116)	(748)	(794)	(735)	(552)	(585)	(609)	(619)	(454)
Free cashflow	**20,413**	**(284)**	**(7,102)**	**12,176**	**347**	**3,080**	**1,248**	**1,416**	**1,683**	**1,751**	**1,789**	**1,784**	**2,525**
Cumulative cashflow		(284)	(7,385)	4,791	5,138	8,218	9,466	10,882	12,565	14,315	16,104	17,888	20,413
Peak post-tax cash requirement (£k)	(9,060)												
Peak post-tax cash requirement (date)	Jan-26												
Payback period (months)	13												

Nominal Balance Sheet (10 Years)

Serco Business

Balance Sheet 000's (Nominal)	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
Non current assets												
Net book value - capital assets	-	1,091	853	2,111	1,294	477	-	-	-	-	-	-
Net book value - leased assets	-	3,347	2,683	1,984	1,248	472	3,786	3,035	2,245	1,412	534	-
Net book value - capitalised costs	-	3,514	3,596	2,593	1,589	585	-	-	-	-	-	-
Total Non Current Assets	-	7,952	7,132	6,688	4,131	1,534	3,786	3,035	2,245	1,412	534	-
Current Assets												
Trade Receivables	-	2,727	2,075	2,138	2,180	2,234	2,290	2,347	2,405	2,465	2,526	-
Passthrough Receivables	-	-	-	-	-	-	-	-	-	-	-	-
Inventory	-	-	-	-	-	-	-	-	-	-	-	-
Accrued Income	-	-	-	-	-	-	-	-	-	-	-	-
Cash	-	-	4,791	5,138	8,218	9,466	10,882	12,565	14,315	16,104	17,888	20,413
Total Current Assets	-	2,727	6,867	7,276	10,398	11,700	13,172	14,911	16,720	18,569	20,414	20,413
Total Assets	-	10,679	13,998	13,964	14,529	13,234	16,958	17,947	18,965	19,981	20,948	20,413
Current liabilities												
Salary related payables	-	-	-	-	-	-	-	-	-	-	-	-
Trade Payables	-	(744)	(737)	(873)	(894)	(913)	(936)	(963)	(983)	(1,008)	(1,037)	-
Passthrough Payables	-	-	-	-	-	-	-	-	-	-	-	-
Overdrafts	(284)	(7,385)	-	-	-	-	-	-	-	-	-	-
Deferred Income	-	(8,353)	(8,288)	(5,587)	(4,618)	(1,723)	-	-	-	-	-	-
Obligations under finance lease < 1 Year	-	-	-	-	-	(512)	-	-	-	-	(579)	-
Provision <12mths	-	-	-	-	-	-	-	-	-	-	-	-
Tax liability	-	-	(110)	(75)	(79)	(83)	(62)	(64)	(67)	(69)	(71)	-
Total current liabilities	(284)	(16,482)	(9,135)	(6,536)	(5,591)	(3,232)	(998)	(1,027)	(1,050)	(1,077)	(1,687)	-
Total assets less current liabilities	**(284)**	**(5,803)**	**4,863**	**7,428**	**8,937**	**10,003**	**15,960**	**16,920**	**17,915**	**18,904**	**19,262**	**20,413**
Long term liabilities												
Obligations under finance lease > 1yr	-	(3,373)	(2,755)	(2,076)	(1,329)	-	(3,817)	(3,117)	(2,348)	(1,504)	-	-
Provision >12mths	-	-	-	-	-	-	-	-	-	-	-	-
Total net asset / (liability)	**(284)**	**(9,177)**	**2,108**	**5,352**	**7,608**	**10,003**	**12,143**	**13,803**	**15,567**	**17,400**	**19,262**	**20,413**
Capital and reserves												
Retained earnings	(284)	(9,177)	2,108	5,352	7,608	10,003	12,143	13,803	15,567	17,400	19,262	20,413
Total capital and reserves	**(284)**	**(9,177)**	**2,108**	**5,352**	**7,608**	**10,003**	**12,143**	**13,803**	**15,567**	**17,400**	**19,262**	**20,413**

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Governance and Sign-Off

	Summary
Governance	Outline the timetable and the level of governance the project has been subject to and what activities have been carried out? Are there any actions not yet closed out from the governance process? Are there any concerns that have arisen during the governance process so far that have not been highlighted as risks in this paper

Matter	Sign-Off Party	Sign Off
Inflation The inflation forecasts used in the bid are appropriate	Group Treasury	Please provide evidence of sign-off and state any qualifications
FX – Exchange Rate assumptions are appropriate and hedging optimised for the bid	Group Treasury	Confirmed. Treasury has been briefed and feedback incorporated into the response
Tax – Tax assumptions are appropriate and optimised for the bid	Group Tax	Please provide evidence of sign-off and state any qualifications
Legal – Contract Documentation has been reviewed and an appropriate and competitive legal position adopted	Divisional General Counsel	Matt Bishop has reviewed the T&Cs and produced a markup for ITPD submission, the key topics of which have been circulated.
Accounting –contract cost principle, SG&A and overall application of accounting is reflected in the financials correctly	Division and Group Finance	Please provide evidence of sign-off and state any qualifications
Insurance – premia, levels of cover, contractual provisions and treatment of deductibles are appropriate	Group Insurance	Please provide evidence of sign-off and state any qualifications
HR – employment terms have been appropriately costed including pension/superannuation provisions	Division and Group HR	Please provide evidence of sign-off and state any qualifications
IT – the technology solution is appropriate, correctly costed and implementation milestones appropriate	Division and Group CIO	Sheela has approved and assured the Technology solution
Procurement – procurement has been consulted and best price and terms achieved for procured products and services	Group Procurement	Please provide evidence of sign-off and state any qualifications
Trading Principles – guidelines from the Trading Principles have been adhered to and exceptions noted	Division Commercial Lead	Please provide evidence of sign-off and state any qualifications
Bonds and Guarantees – have been reviewed and approved	Group Treasury and CoSec	The PCG itself is in a typical form that we are used to seeing but we plan to make a formal application to CoSec following the final negotiation round when the contract T&Cs are known.

Competitive Analysis (Based on 5 yr Evaluated Scope)

Drivers	**SERCO / PBSC (Post Intervention Impact)**	Beryl + Partner	Velogik, Cubic, Tembici
Cost	*Assumption: our cost base should be on par due to planned interventions and lower MTT and Infrastructure change costs*	*Assumption: Beryl are likely to provide a lower price but inferior quality product & service*	*Lower opex costs and docking stations*
Price	*Based on 9% and current SG & A rates*	*Note: Beryl may have the appetite to be aggressive on margin to secure market share and volume. Unlikely to have similar SG & A cost*	*Cubic pricing structure may increase margin aspirations into double digits*
Commercial/Legal approach (ISFT = Pass / fail)	*Serco are familiar with Terms & Conditions and comfortable with a high proportion of the provisions.*	*Assumption: as a small business likelihood that they shall try and push back on a wide range provisions specifically LDs, Liability etc*	*Assumption: as a small business likelihood that they shall try and push back on a wide range provisions specifically LDs, Liability etc*
Technical Capability/Quality	*Serco & PBSC jointly can demonstrate industry proven and robust capability and product selection*	*Beryl is suffering from recent poor contract performance and their product has not scaled to the levels demanded of London*	*Tembici product is unknown and unproven. Historically, they have leveraged PBSC capability. Cubic track record*
Innovation	*Client Perception is that Serco is a good operator but not innovative. PBSC to date has shown limited appetite to expose their roadmap*	*Beryl's perception is one of thought leader and has demonstrated its ability to innovate*	*Tembici is an unknown quantity. Velogik is similar to Serco and known as an operator. Cubic do not have a track record in this area*
Customer Intimacy (TfL & LCHS)	*Good intimacy with existing contract team only. Outside Serco has limited traction.*	*This is unknown. The LCHS contract team are familiar with the company*	*Due to Cubic, they have good access to TfL. Cubic's relationship with the LCHS is poor however*
Reputation	*Serco & PBSC possesses a high level of industry and LCHS reputation*	*Evidence that the LCHS operational team do not rate Beryl as a competent operator of bike share schemes*	*Cubic has a good traction with TfL. But not with the LCHS. Both Velogik and Tembici relative newcomers and unknown*
Customer Hot Button 1 Transition	*Serco can deliver full transition within 12 months and reach OCD within 7 months with limited to no risk*	*Unable to achieve OCD within 7 months and then a longer asset refresh programme over 23 months*	*Unable to achieve OCD within 7 months and then a longer asset refresh programme over 23 months*
Customer Hot Button 2 User Experience	*Introduction of new app and payment functionality shall deliver an approved User experience*	*Beryl app is good. On-street infrastructure unproven - shall deliver a less comparable UX*	*On-street infrastructure shall deliver a less comparable UX*
Customer Hot Button 3 Affordability	*Refer to cost and price above*	*Refer to cost and price above*	*Refer to cost and price above*

Appendix

- Evaluation overview
- PBSC Scope and sub-contract workscope packages

Price & Quality Evaluation at ITPD

LCHS Overall Evaluation

Sub-Category Reference	Sub-Category Title	Sub-Category Evaluation Marks Available
QS1	Scheme Operation	20 Marks
QS2	Innovation & Additional Services	1 Mark
QS3	Transition	7.5 Marks
QS4	Asset Replacement & Construction	7.5 Marks
QS5	Spares Supply Chain & Orders	2 Marks
QS6	Customer	2.5 Marks
QS7	MTS & Inclusion	1 Mark
QS8	Security & Crime	1 Mark
QS9	Privacy & Data Protection	2.5 Marks
QS10	Technology	2.5 Marks
QS11	Cyber Security	2.5 Marks
Technical Response Sub-total		**50 Marks**
SV1	Social Value	10 Marks
Technical + Social Value Responses Sub-total		**60 Marks**
PM	Pricing Model	40 Marks
Total Evaluation		**100 Marks**
SoR	Statement of Requirements	Pass/Fail (60% at ITPD, 90% at ISFT)
LR1	Contract Mark Up	Pass/Fail At ISFT

Technical & Social Value Responses:

- 81 Questions = 60 Marks (avg. 0.74 per question)
- Each question is scored on a linear 5-point scale resulting in a pro-rata allocation of the marks available (e.g. 3 = 60%)
- 3 Questions have a Minimum Quality Threshold resulting in disqualification if a 0 or 1 is scored (1.1 Redistribution, 1.3 Preventative Maintenance & 1.4 Reactive Maintenance)

Pricing Model:

- Evaluation is on an inverse price method with reference to the lowest priced bidder, i.e. Lowest Price / Bidder's Price x 40 Marks
- ITPD evaluation is on the basis of 5-year price only, excluding the extension, indexation and bike/e-bike refresh (docking infrastructure refurbishment/refresh is included)
- **Mandated hires assumption of 10.5m pa** based on Oct 2018 – Sep 2023 average; above current levels but below forecasts.

Pass/Fail Responses:

- Statement of Requirements Compliance Matrix: 60% at ITPD, 90% ISFT (% calculated based on a line-by-line count of requirements)
- Contract Mark Up: To be submitted at ITPD stage and negotiated through dialogue. No mark up allowed at ISFT stage (i.e. pass/fail).

Technical & SV Evaluation (60 Mks)

Overarching Evaluation Criteria

- Consistent answer?
- Answered (required elements of) the question?
- Meets the requirement?
- Acceptable proposal?
- Delivers an overall effective solution?
- Provides additional value in the technical solution?

LCHS Scoring Scale

Score	Weighting	Criteria
5 **Excellent**	100%	The Bidder's response is **consistent** when answering the question and has **answered the required elements** of the question and; Bidder response **exceeds the requirement** in an excellent manner with a **robust proposal** that delivers an **overall effective solution** including the relevant commitment, understanding, resource and quality measures. The proposal **provides additional value** in its technical solution.
4 **Very Good**	80%	The Bidder's response is **consistent** when answering the question and has **answered the required elements** of the question and; Bidders response **meets the requirement** in a very good manner with a **robust proposal** that delivers an **overall effective solution** including the relevant commitment, understanding, resource and quality measures.
3 **Good Enough**	60%	The Bidder's response is **consistent** when answering the question and has **answered the required elements** of the question and; Bidder's response **meets the requirement** with an **acceptable proposal** that overall includes the relevant commitment, understanding, resource and quality measures, notwithstanding that there are **minor issues** which are easily resolvable and in any event which do not have a material impact on the overall acceptability of the proposal, but offers no evidence of adding value above the requirements.
2 **Minor Concerns**	40%	The Bidder's response is **inconsistent** when answering the question and/or has **missed an amount (less than half) of the required elements** of the question and; Bidder's response **meets the requirement** with a proposal that overall includes the relevant commitment, understanding, resource and quality but which may give rise to some **minor reservations** in one or more areas which may be resolvable but, if not, **may have an impact on the overall acceptability** of the proposal.
1 **Major Concerns**	20%	The Bidder's response is **inconsistent** when answering the question and/or has **missed a significant amount (at least half) of the required elements** of the question and; Bidder's response overall **fails to meet the requirement** and/or gives rise to one or more **serious concerns** about the relevant commitment, understanding, resources and/or quality measures, **regardless of any added value**.
0 **Fail**	0%	The Bidder has not provided a response and/or the response **does not provide a coherent answer** to the question and/or has **missed the (at least three quarters) of the required elements** of the question and Bidder's response overall **fails to meet the requirement**, including the relevant commitment, understanding, resources and/or quality measures, **regardless of any added value**.

Technical & SV Evaluation (60 Mks)

Overarching Evaluation Criteria

- Consistent answer?
- Answered (required elements of) the question?
- Meets the requirement?
- Acceptable proposal?
- Delivers an overall effective solution?
- Provides additional value in the technical solution?

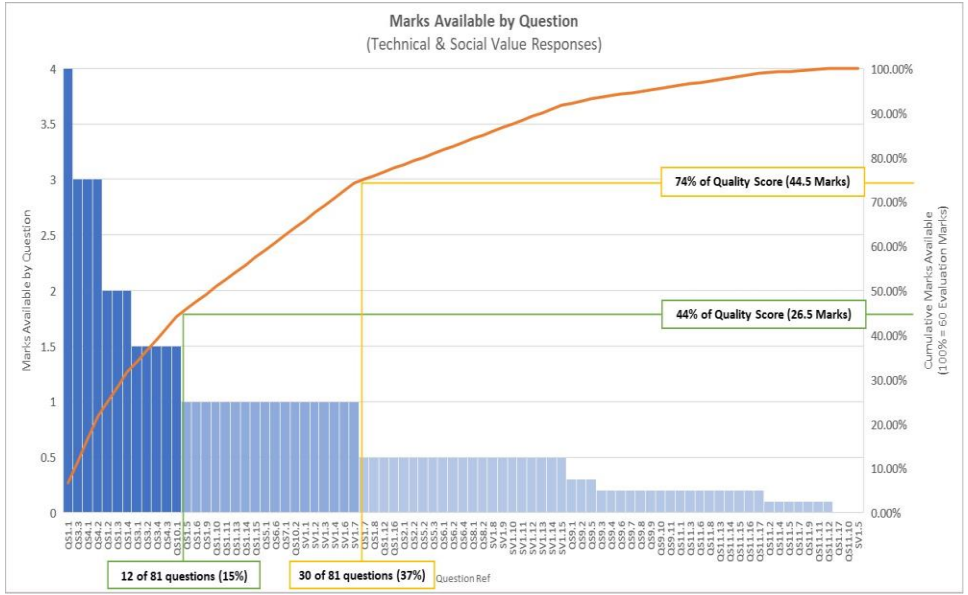
LCHS Scoring Scale

Score	Weighting	Consistent answer	Answered the required elements of the question	Meets the requirement	Acceptable proposal	**Delivers an overall effective solution** (including the relevant commitment, understanding, resource and quality measures)	Provides additional value in the technical solution
5 Excellent	100%	Consistent answer	Answered all the required elements of the question	Exceeds the requirement	Robust proposal	Overall effective solution	Additional value
4 Very Good	80%			Meets the requirement			No additional value
3 Good Enough	60%				Acceptable proposal	Minor issues (easily resolvable with no material impact on overall acceptability of proposal)	N/A - not counted (this is not specifically stated for these two scores but is effectively the case as the other criteria for an Excellent score would not be met)
2 Minor Concerns	40%	Inconsistent answer	Missed less than half the required elements of the question		Potentially unacceptable proposal	Minor reservations (may be resolvable but, if not, may have an impact on overall acceptability of proposal)	
1 Major Concerns	20%		Missed at least half the required elements of the question	Fails to meet the requirement	Unacceptable proposal	Serious concerns	N/A - not counted
0 Fail	0%	Incoherent answer	Missed at least three quarters of the required elements of the question			Fail	

Technical & SV Evaluation

LCHS Technical Evaluation

	Ref	Question	Approx. price equivalent per grade step (e.g. 4 to 5)	Maximum Evaluation Mark Available
	QS1 – Scheme Operation			
MQT	QS1.1	Redistribution	£6.5m	4
	QS1.2	Asset Management	£3.3m	2
MQT	QS1.3	Preventative Maintenance	£3.3m	2
MQT	QS1.4	Reactive Maintenance	£3.3m	2
	QS3 – Transition			
	QS3.1	Project Management	£2.5m	1.5
	QS3.2	Transition Plan	£2.5m	1.5
	QS3.3	Transition to Live Services	£4.9m	3
	QS3.4	Technical Requirements	£2.5m	1.5
	QS4 – Asset Replacement & Construction			
	QS4.1	New Bicycle Provision	£6.5m	3
	QS4.2	New Docking Station Assets	£6.5m	3
	QS4.3	Construction	£6.5m	1.5
	QS10 – Technology			
	QS10.1	Integration	£2.5m	1.5
	N/A	Next 18 responses (1 Mark each)	£29.4m	18
	N/A	Remaining 51 responses	£25.3m	15.5



Top 12 questions account for 44% of the Technical & Social Value Evaluation (26.5 Marks)

Supply Chain Scope allocation and % Value

Serco control and manage c65% of the work scope with a single material sub-contractor controlling c28%

Supplier	Subcontract work packages	Value %
PBSC	Provision of SaaS Hosting Capability and support Services Design, Develop, Test and Operate the Core BSS Service System Capability Design, Develop, Test and Operate the Digital Channel capability Provision of Licencing and Application Development and Management Services Provision of e-bike infrastructure Provision of on street asset infrastructure	28%
Pashley	Provision of pedal bicycles and spare parts	7%
Cohesive	Provision of Asset Management Operational Systems Provision of Field Service Management Systems Provision of licencing and application development and management services Provision of hosting and infrastructure support services	2%
Kelly	Civil engineering and construction / fit out services	<1%
ITS	Civil engineering and construction / fit out services	<1%

Contract Risks / Mark-up – Strategic Analysis (1/2)

	Is there a broadly equivalent obligation in our current contract?	Is there good justification for negotiation given the additional scope?	Would we be prepared to trade the point for other change(s)?	On balance, is it so emotive/material risk shift for the customer that it isn't worth raising?	Has the customer moved on position previously OR is their ask not 'standard' in the industry?	Does us negotiating the point benefit the competition and therefore decrease PWIN?
Volumetric risk	✓	✓	✗	✗	✓	✓
PI Regime – exceptions	✗	✓	✗	✓	✓	✓
True up on Cubic Staff	✗	✓	✗	✗	✓	✓
Lost bike liability	✗	✓	✗	✓	✓	✓
Bike / Station Order Cancellation Rights	✗	✓	✗	✗	✓	✓
Gainshare / Profit Cap	✗	✗	✓	✓	✗	✓
TTL Customer Revenue as direct loss	✗	✓	✗	✗	✗	✗
Indexation capped at 5% CPI	✓	✓	✓	✗	✗	✗
Benchmarking	✓	✗	✓	✗	✗	✓
Authority Liability Cap is c£10m	✓	✓	✗	✗	✗	✗
MTT is extensive and not 100% clear	✓	✓	✗	✗	✗	✗
Unable to billing for Assets until in use						

Contract Risks / Mark-Up – Strategic Analysis (2/2)

	Is there a broadly equivalent obligation in our current contract?	Is there good justification for negotiation given the additional scope?	Would we be prepared to trade the point for other change(s)?	On balance, is it so emotive/material risk shift for the customer that it isn't worth raising?	Has the customer moved on position previously OR is their ask not 'standard' in the industry?	Does us negotiating the point benefit the competition and therefore decrease PWIN?
Existing Docking Station Due Diligence/Relief	✗	✓	✗	✗	✓	✓
Construction obligations extensive and misaligned to operation	✓ ✓	✓ ✓	✓ ✗	✗ ✓	✓ ✓	✓ ✓
Testing obligations extensive & misaligned to operation	✓	✓	✗	✓	✓	✓
IP Rights – limited to licence only with no right to own created IP	✓	✓	✓	✗	✗	✓
FX Risk						

Contract Mark-Up Decision/Outcomes (1/3)

Topic	Notes	Decision and why
Volumetrics	• We have pedal bikes risk in existing contract at a similar level but not e-bikes • Risk profile has changed since we are owning the whole scope • Client likely to revise volume upwards during dialogue • Competition are also likely to request and cap and collar • Get this wrong and the impact on P & L is significant	Mark up (soft). Call back the fact we were asked to base solution on fixed volumes and include commentary in the negotiation tracker suggesting volume will need to be adjusted to reflect increase in e-bikes and ask the customer how they intend to handle the cost impact of future increased ridership.
PI – Availability of Terminals	• The Client may be emotive as there is a perception Cubic have been overcharging • Impossible to deliver to this stringent output and even attempting to get close would be harmful to VFM and not cost beneficial • A complete refresh would improve our ability to deliver to a closer % • We would want to explicitly carve out liability for vandalism	Mark up (explicit) – state that we wish to exclude liability for: • Vandalism; and • failure of COTS providers (e.g. Amazon/mobile networks) We will present data at dialogue on why the PI % asked does not represent good VfM.
PI – Availability of Bikes	• Performance has increased but we have viable solution to meet	Accept position, but soft note to state addition of the FTEs to meet this requirement can be a dialogue topic/client affordability question
PI – BA Banding P1-P3	• Deliverability is a challenge that will compound and drive significant risk	Accept position – we can accept as is but recommend a discussion in dialogue because it has a perverse impact as harder to meet in winter (when quiet) than summer.
PI Availability of Systems	• PBSC SLA is not aligned • Probability of failure extremely low • Carve our for cause of failure	Sort markup noting need to align with SaaS product SLAs (PBSC/AWS) Accept position Action: risk price within model for failure
PI - Lost bike recovery	• High risk of failure and recovery rates would not mitigate • Counter productive (writing off bikes quickly as unrecovered not environmental) • Drive up costs through a higher replacement rate (see below) • Emotive subject for the client	Accept position but add suggestive text around alternative approaches to drive better behaviours. Carve out failed recovery associated with staff safety in jeopardy (e.g. situations where it would be dangerous to recover)
Cost of lost bike replacement	• Station geo location and customer payment security not within Serco's control	Mark up – communicate it is unreasonable to accept financial consequence and risk equal to a £2m pa

Contract Mark-Up Decisions/Outcome (2/3)

Topic	Notes	Decision and why
Gainshare	• Existing principle exists in the payment of excess profit back to the client • 12% Capped profit for BPO is generous • History of 20% profitability • Success of negotiating a high cap and on different terms is low	Accept position and new world of doing business with this client. Wording to probe mechanism and how it works
TTL Revenue risk as direct loss	• Low probability of materialising but high impact	Accept position – soft language that it is our assumption that such a clause would be enacted once PIs Capped out
Indexation	• CPI capped at 5%. Outcome AWE which is aligned to people • London living wage clause in contract that may mitigate impact • Price or seek change in the contract provisions • Customer is going to pay one way or another	Mark up– preference to either align with London living wage for frontline staff and CPI for other staff and non-staff costs
Benchmarking	• Applies today, client never invoked or performed this activity • Probability of this being enacted within 5 yr low • Since 2010 low level of change that impacts performance	Accept position
Liability	• £10m Cap on existing contract and additional scope not material with risk • Applies today	Accept position
MTT	Authority requesting the "art of the possible" Contract provisions and milestones determined	Accept position – caveats acceptance based upon dialogue and reaching an informed position
Billing of Assets	• Accepted principle for bikes on existing contract • MTT 6 months term only low risk • During live operations only mandated to hold 25 terminals and complete asset refresh	Accept position
Station due diligence	• Relief on existing and new PIs until implementation complete • Equipment in poor health & New Pis undeliverable	Mark up – request relief through implementation

Contract Mark-Up Decisions/Outcome (3/3)

Topic	Notes	Decision and why
Testing	• Highly burdensome. Approach drives up risk with deliverability within 7 months • Significant dependency upon Authority to attend, approve • Emotive subject for the client – client likely to delay OCD than a less than optimum testing strategy	Accept provisions – delivery upon a 7 months OCD complete date shall require discussion and agreement in terms of testing exeuction
IP	• Significant change in scope and profile • Client driver assume if paid they should retain IP in asset • PBSC red line – licence only for assets and software	Mark up – Comments around understanding drivers and needs to land on an acceptable position between PBSC and Client
FX	• Accept position on e-bike CC but not on main contract • High probability and uncertain world • Mitigate hedge closer to CA at a cost (4 month swing in currency risk)	Mark up – adjust for currency flux between ISFT submission and CA (12 months 83p and 76p swing or 8.5%)
Construction	• Contract overburden and not applicable to scope and risk • Real world experience is that guilty knowledge is an competitive advantage and Serco is best able to manage risk than competitors	Accept position
TUPE True up	Existing contact already has True up mechanism	Accept position there is no true up since the vast majority of staff eligible for TUPE are Serco's so true up would benefit the competition more than ourselves